

ANSWERS & EXPLANATIONS
GENERAL STUDIES (P) TEST – 6330

- Q 1. B** • **Construction of new house is considered part of capital formation**, representing production of goods and services that add to the economy's productive capacity. The value of newly constructed houses **contributes to Gross Domestic Product (GDP) and hence national income**.
- **Lottery winnings are transfer payments or windfall gains** that do not involve production of new goods or services. They represent a redistribution of income rather than creation of income, so they do not add to the flow of goods and services in the economy and **thus are not included in the national income**.
 - **Purchases made by foreign tourists are included in the estimation of national income**. The domestic economy treats purchases made by foreign tourists as exports of services or goods. National income includes all expenditures on final goods and services produced within the domestic economy, whether consumed by residents or non-residents. Since foreign tourists are purchasing domestic goods and services, their spending is considered part of the country's final output, and therefore, it is included in national income.
 - **Gifts received from abroad are not part of a country's national income** because they are transfer payments, not income from productive activity.
 - **Hence, option (b) is the correct answer.**
- Q 2. D** The total liability of the monetary authority of the country, RBI, is called the **monetary base or high powered money**. It consists of:
- Currency (notes and coins) in circulation with the public.
 - Vault cash of commercial banks
 - Deposits held by the Government of India with RBI.
 - Deposits held by the commercial banks with RBI. **Hence all the statements are correct.**
- As a liability, RBI, when presented with the currency note, must pay a person value equal to the figure printed on the note. Similarly, the deposits are also refundable by RBI on demand from deposit-holders. These items are claims which the general public, government or banks have on RBI and hence are considered to be the liability of RBI.
- Q 3. D** • **Context: The New Rules were issued by the Reserve Bank of India (RBI) under Section 22(1) of the Banking Regulation Act, 1949, for PRIORITY SECTOR LENDING (PSL) NORMS FOR SMALL FINANCE BANKS (SFBS).**
- The Reserve Bank of India (RBI) mandates Priority Sector Lending (PSL) targets for various banks, with the overall target for Domestic Commercial Banks and Foreign Banks with 20+ branches set at 40% of Adjusted Net Bank Credit (ANBC) or Credit Equivalent of Off-Balance Sheet Exposures (CEOBSE), whichever is higher.

- The PSL target for UCBs has been revised to 60% of Adjusted Net Bank Credit (ANBC) or Credit Equivalent of Off-Balance Sheet Exposures (CEOBSE), whichever is higher. This adjustment is expected to strengthen the role of cooperative banks in supporting priority sectors, ensuring credit flows where it is needed most.

PSL covers multiple categories, including:

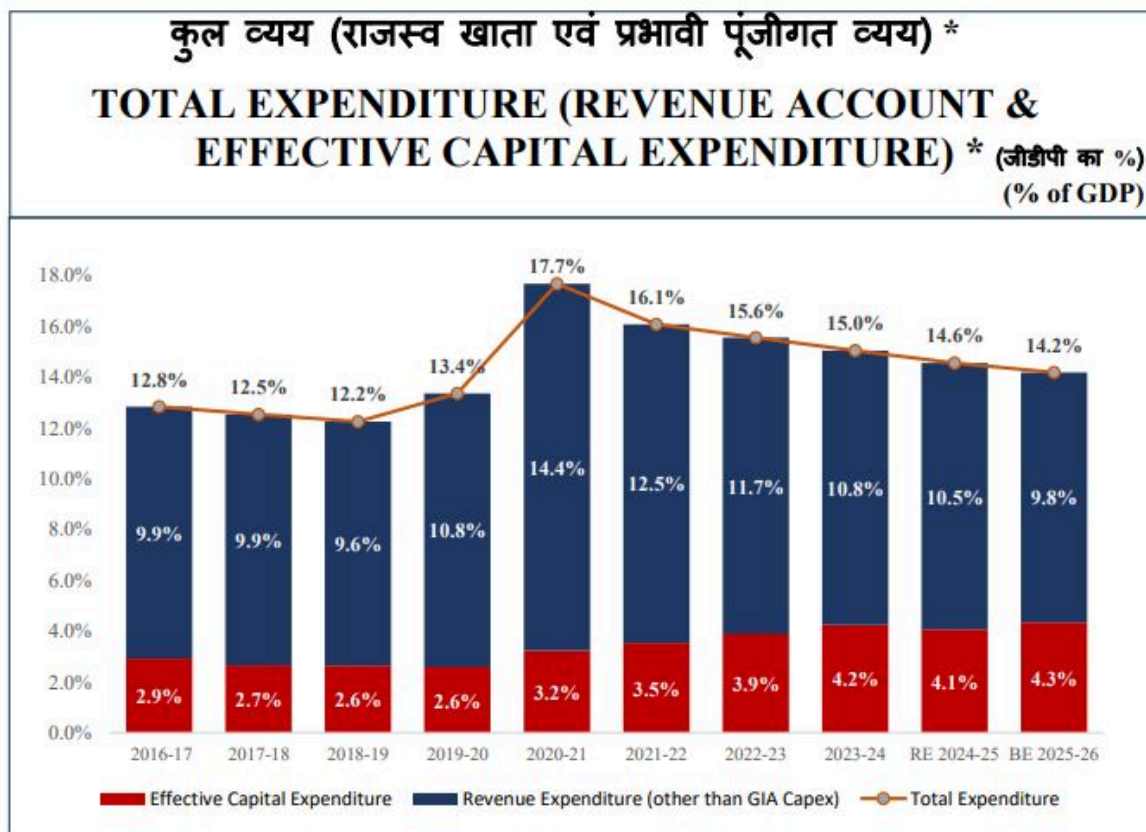
- **Agriculture** – Farmers, Agri-infrastructure, and allied activities.
- Micro, Small, and Medium Enterprises (MSMEs) – Small business financing and start-up support.
- **Export Credit** – Financing to boost India's trade sector.
- **Education** – Loans for students pursuing higher education, including vocational courses.
- **Housing** – Home loans, slum rehabilitation projects, and infrastructure financing.
- Social Infrastructure – Credit for schools, hospitals, and sanitation projects.
- **Renewable Energy** – Funding for solar, wind, and other clean energy projects.
- Hence, option (d) is the correct answer.

Q 4. B • Gross National Product (GNP) is the money value of all the goods and services produced within the domestic territory of a country in an accounting year corrected for net income from abroad. $GNP \equiv GDP + \text{Factor income earned by the domestic factors of production employed in the rest of the world} - \text{Factor income earned by the factors of production of the rest of the world employed in the domestic economy}$ Hence,

- **$GNP \equiv GDP + \text{Net factor income from abroad}$** . So when net factor income from abroad is zero then Gross Domestic Product will be equal to Gross National Product. In absence of the governments indirect taxes and subsidies, the total value of final goods and services produced in the economy, GDP, becomes identically equal to the National Income.

Q 5. D • Effective Capital Expenditure (Eff-Capex) is the sum (addition) of a government's Capital Expenditure (CapEx) plus Grants-in-Aid given to states for creating capital assets, not minus them, to show the true public investment in infrastructure and growth. It highlights the total funds directed towards long-term productive assets like roads, railways, and digital infrastructure, crucial for economic expansion. **Hence, statement 1 is not correct.**

- **India's effective capital expenditure (capex) as a percentage of GDP has significantly increased, reflecting an improved quality of government spending by prioritizing long-term assets (infrastructure, health, education) over routine revenue spending, creating a powerful multiplier effect for economic growth, employment, and better living standards.** This push, notably increased post-COVID, aims for sustained growth by reducing bottlenecks, with projections keeping capex around 5% of GDP, signaling a shift towards productive investments. **Hence, statement 2 is not correct.**



Q 6. B • Income Method

The value of product is equal to the payments made to the factors of production. In general, there are four factors of production, viz., land, labour, capital and entrepreneurship which are compensated through rent, wages, interest and profit, respectively. According to this method, **national income is measured in terms of payments made to all factors of production**. Hence, based on the this approach, the GDP at market prices is the sums of the compensation of employees, gross operating surplus, mixed income and net indirect taxes, which is taxes on production and imports less subsidies on production. The income-side approach shows how various factors contribute to the GDP in the production process.

- **Compensation of Employees:** This comprises wages, salaries, employee benefits such as employers' contribution to pension plans, social security, etc. It is the total remuneration, in cash or in kind, paid by an employer to an employee for the labour during the accounting period. It is composed of wages and salaries (in cash and in kind), and employers' social contributions.
- **Gross Operating Surplus:** It is net business income during the production process from property and enterprises in the form of rent, interest, royalty and profit. Profit includes dividends, corporate taxes and retained earnings.
- **Income of Self Employed:** This is the remuneration for the work carried out by the owner or by owner's family of an unincorporated enterprise, which is also called 'mixed income'. Income of a proprietor (owners of capital, land, and skills) earn mixed income in the form of mix of capital income, labour income and profits.
- **Taxes on production and imports less subsidies on production:** The former consist of compulsory, non-refundable payments to or from general government or institutions in India, in respect of the production or import of goods and services, the employment of labour, and the ownership or use of land, buildings or other assets used in production.

- Hence, option (b) is the correct answer.

Q 7. B Keynesian View of Unemployment

- Keynesian economics explains unemployment mainly as a demand-side problem, not as a failure of workers or markets to adjust quickly. **John Maynard Keynes argued that an economy can settle at an equilibrium with persistent unemployment if total spending in the economy remains inadequate.**

Role of Aggregate Demand

- Aggregate demand represents the total spending on goods and services in an economy. When households reduce consumption, firms cut back investment, or the government reduces expenditure, overall demand falls. In such a situation, firms cannot sell all that they produce, **leading them to reduce output and lay off workers. This results in involuntary unemployment, even though workers are willing to work at prevailing wages.**
- This condition is especially visible during economic recessions, when pessimistic expectations suppress private investment and consumption.

Policy Implication in Keynesian Economics

- Because the root problem lies in insufficient demand, Keynes advocated active government intervention. Expansionary fiscal policy—such as increased public spending, tax cuts, and public works programmes—can raise aggregate demand, stimulate production, and generate employment.
- This reasoning forms the basis of modern counter-cyclical policies used by governments during economic slowdowns.
- Hence, option (b) is the correct answer.

Q 8. A • Quantitative tools of monetary policy are instruments used by a central bank (like the RBI) to control the overall volume of money and credit in the economy.

Key Quantitative Tools:

- **Open Market Operations (OMO): Buying and selling government securities to inject or absorb liquidity. Hence, point 5 is correct.**
- Repo Rate: Rate at which the central bank lends to banks for short-term needs; a lower rate encourages borrowing, a higher rate discourages it.
- Reverse Repo Rate: Rate at which the central bank borrows from banks, absorbing excess cash.
- Bank Rate: Rate for long-term lending to banks, influencing overall credit costs.
- **Cash Reserve Ratio (CRR): Percentage of deposits banks must hold with the central bank, affecting funds available for lending. Hence, point 1 is correct.**
- **Statutory Liquidity Ratio (SLR): Portion of deposits banks must hold in liquid assets (cash, gold, securities). Hence, point 3 is correct.**
- Liquidity Adjustment Facility (LAF): Repo and reverse repo operations for short-term liquidity management.

Key Qualitative Tools:

- Credit Rationing: The central bank sets a maximum limit (ceiling) on loans for certain sectors, ensuring balanced credit distribution and preventing excessive lending to non-priority areas.

- **Margin Requirements:** Adjusting the difference between a security's value and the loan amount. A higher margin means borrowers need more collateral, reducing loan demand, while a lower margin encourages borrowing, especially for specific sectors like agriculture. **Hence, point 2 is not correct.**
- **Moral Suasion:** The central bank uses persuasion, requests, and guidance to influence commercial banks' lending policies, encouraging or discouraging credit flow without statutory force. **Hence, point 4 is not correct.**
- **Direct Action:** Penalising banks that fail to comply with central bank directives, potentially by restricting their access to refinancing facilities. **Hence, point 6 is not correct.**
- **Hence, option (a) is the correct answer.**

Q 9. A A 'stimulus' is an attempt by policymakers to kickstart a sluggish economy through a package of measures. It may be given in two forms:

- **Monetary stimulus:** It will see the central bank expanding money supply or **reducing the cost of money (interest rates)**, to spur consumer spending. Hence **reducing the repo rates is a monetary stimulus**, not a fiscal stimulus.
- **Fiscal stimulus:** It either entails the higher government spending or putting more money in the hands of consumers. It may be in form of **slashing tax rates, , hiking the salaries of government employees on the recommendation of various pay commission etc**
- There are different perspectives on the utility of such packages. However, it proved beneficial for the Indian economy during 2008-09.
- **India's fiscal stimulus package in 2008-09 included** a blanket 4 percentage point cut in the excise duty rates, ₹20,000 crore in plan spending by the Government, ₹10,000 crore **funding for infrastructure finance**, export subsidies and a large government order for new buses to replace State public transport fleets. All this, on top of pay revisions for government employees, did prove hugely successful at revving up the economy.

- Q 10. B**
- Payment banks are specialised, smaller-scale banks in India, introduced by the RBI for financial inclusion, offering basic services like savings/current accounts, digital payments, and remittances, but cannot issue loans or credit cards, focusing instead on tech-driven, low-cost banking for unbanked populations.
 - Payments Banks are registered as public limited companies and get their primary license under the Banking Regulation Act, 1949, with specific conditions from the RBI. They are added to the Second Schedule of the RBI Act, 1934, after commencing operations and meeting the RBI's financial soundness criteria. **Hence, statement 1 is not correct.**
 - Key examples include Airtel Payments Bank, Paytm Payments Bank, and India Post Payments Bank, leveraging digital/postal networks to reach rural areas and facilitate digital transactions.
 - Payment Banks can accept only savings and current (demand) deposits, and they are currently restricted to holding a maximum balance of ₹2,00,000 (initially ₹1,00,000) per individual customer. **Hence, statement 2 is correct.**
 - Payment Banks are expressly not allowed to provide any credit facilities (lend money) or issue credit cards. **Hence, statement 3 is not correct.**

- Q 11. C • The greenshoe option, also known as the over-allotment option,** used by companies during their initial public offerings (IPOs) to maintain stability in the stock price in the event of heightened demand for their shares post-IPO. It grants the underwriters, who facilitate the IPO, **the right to issue additional shares, typically up to 15% of the original shares issued, if there is excess demand.** The greenshoe option serves multiple purposes, such as preventing the share price from skyrocketing and providing underwriters with an opportunity to buy back shares at the offering price, thereby stabilising the stock price. **Hence, option (c) is the correct answer.**

History of greenshoe option

- The term "greenshoe option" is named after the first company to use this clause, Green Shoe manufacturing. The company went public in 1960 and employed the greenshoe option to stabilise its stock price. Over the years, the greenshoe option has evolved into a common feature in modern IPOs and plays a vital role in ensuring the success of the offering.

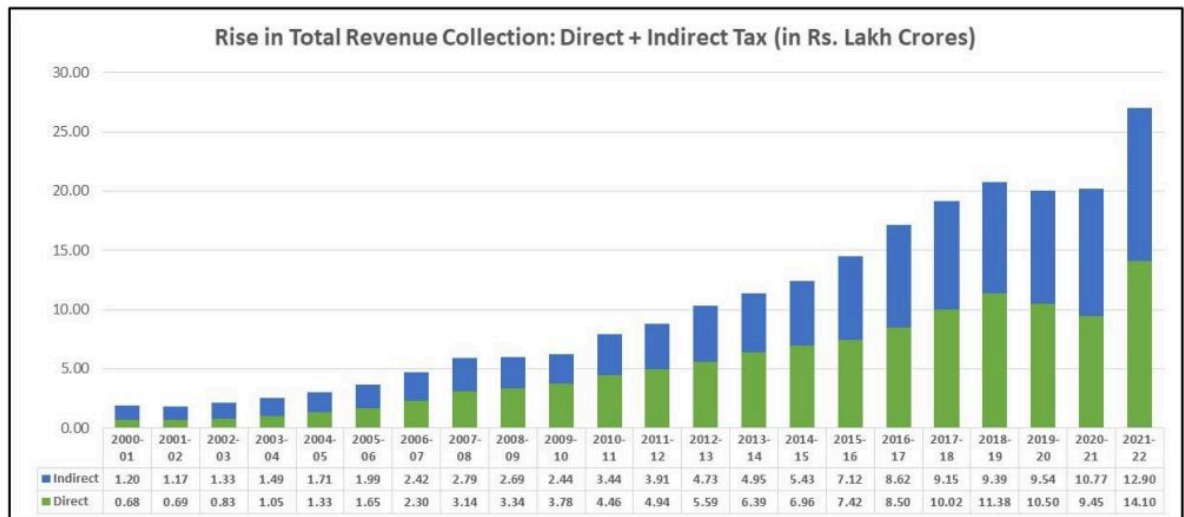
There are two primary types of greenshoe options:

- **Naked greenshoe:** In a naked greenshoe, the underwriters sell shares that they do not own. They create these additional shares to meet excess demand, thus increasing the supply in the market.
- **Covered greenshoe:** In a covered greenshoe, the underwriters sell shares that they have borrowed from the issuer or another party. This type allows the underwriters to cover their short position by acquiring shares from external sources, reducing the risk of creating excess shares in the market.

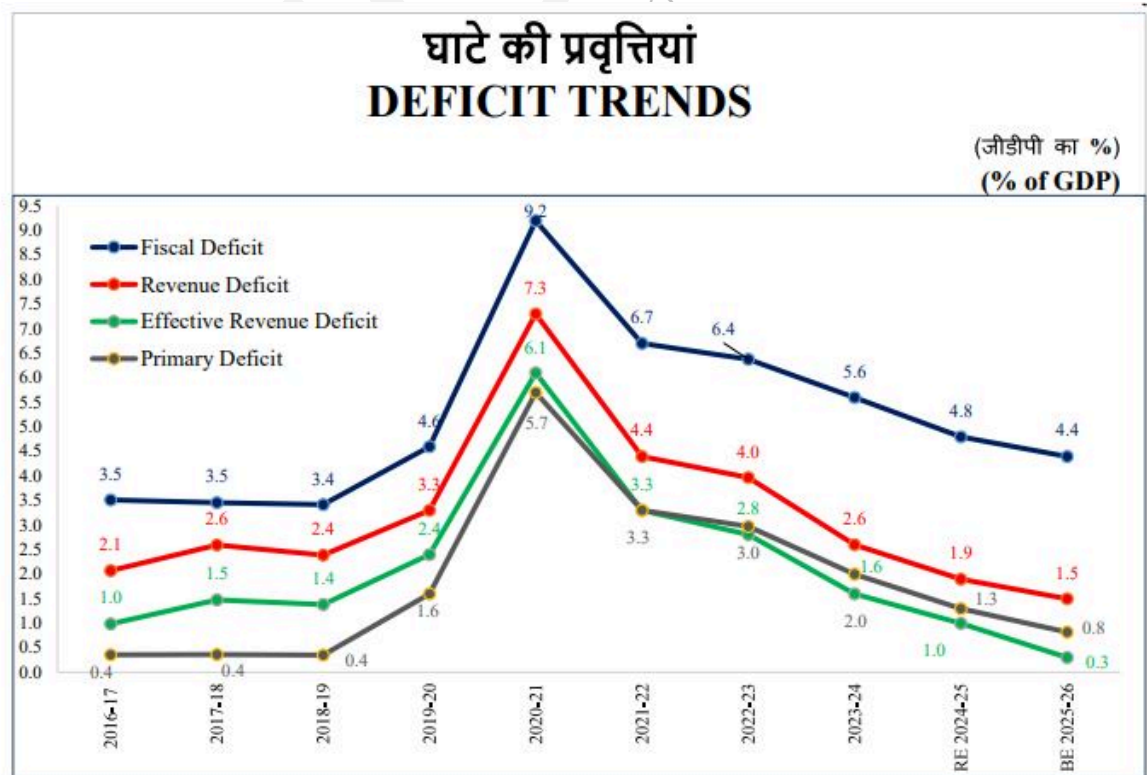
- Q 12. A •** Excise tax is a tax on selected goods that are consumed within a country. Tax can be collected from the producer, manufacturer, wholesaler, importer, or at the point of final sale to the consumer. Excise taxes can be either specific or ad valorem. Specific excise taxes are charged per quantity, such as per cigarette, pack, or kilogram (e.g., 100rs per pack regardless of price). Ad valorem excise taxes are charged as a percentage of the value of the product. The value of the product is measured by the manufacturer's price (e.g., 80% of the manufacturer's price) or by the price paid by consumers (e.g., 70% of pre-tax retail price).
- Specific taxes are fixed and do not depend on tobacco industry pricing strategy. In addition, since the tax is applied to all products at the same rate, a higher tax usually results in similar prices increase across the board, regardless of product. Specific taxes reduce the gap in prices between cheap and more expensive products.
 - **When taxes increase, consumers often try to maintain their consumption habits by switching from expensive brands to cheaper ones—a behavior known as "down-trading" or substitution. Ad Valorem Tax is based on the price. If a 20% tax is applied, a 100rs product pays 20rs tax, while a 50rs product pays only 10rs. This widens the absolute price gap between high-quality and low-quality brands, making the cheaper option even more attractive financially. This encourages consumers to substitute down rather than quit.**
 - **Specific Tax adds a flat fee (e.g., 20rs per pack) regardless of the product's original price. It effectively sets a "price floor." Because the tax is the same for both premium and budget brands, the relative price difference decreases. In essence, specific tax hits cheapest products harder.**
 - **Thus, Specific taxes minimize substitution and are more effective than ad valorem taxes at reducing consumption after a tax increase. Hence, Both Statement-I and Statement-II are correct and Statement-II is the correct explanation for Statement-I.**

- Q 13. A** • **Gross Domestic Product (GDP)** is the total value of all final goods and services produced within a country's borders in a given period, regardless of who owns the resources.
- **GVA at Basic Prices** is the value added by producers after excluding the cost of intermediate goods; it shows the actual contribution of different sectors to the economy.
 - **Gross National Income (GNI)** is the total income earned by a country's residents, including income from abroad and excluding income earned by foreigners domestically.
 - **Gross National Disposable Income (GNDI)** is the income actually available to residents for consumption and saving, after adding net transfers such as remittances from abroad.
 - **As per the available data (provisional estimates of 2024-25):**
- | | |
|-------------------------------------|---|
| • Income Aggregate | Value at current price (₹ Crore) |
| 1. GVA at Basic Prices | 2,46,46,698 |
| 2. Gross Domestic Product (GDP) | 2,68,90,473 |
| 3. Gross National Income | 2,65,20,166 |
| 4. Gross National Disposable Income | 2,73,39,378 |
- **Hence, option (a) is the correct answer.**
- Q 14. A** • Net domestic product (NDP) is an annual measure of the economic output of a nation that is adjusted to account for depreciation and is calculated by subtracting depreciation from the gross domestic product (GDP). **Hence statement 1 is correct.**
- **$NDP = GDP - Depreciation$.** Thus greater the value of depreciation (consumption of capital goods), the lower will be the value of NDP. **Hence statement 2 is not correct.**
 - Therefore it will always be lower than the gross domestic product of the country, as no country can have 0% depreciation.
 - An increase in NDP would indicate growing economic stagnation, while a decrease would indicate ongoing economic health. Though the gross domestic product is frequently cited when assessing the economic health of a country, net domestic product puts into perspective the pace at which capital assets degrade and must be replaced. Failure to do would result in a decrease in the country's GDP. Therefore, every country will try to invest more in research and development to lower its depreciation costs.
- Q 15. C** • **A regressive tax is a tax where the tax burden falls disproportionately on lower income earners.** As income increases, the percentage of income paid in tax decreases. In other words, lower income individuals pay a higher proportion of their income in tax compared to higher income individuals. Hence, statement 1 is correct.
- Indirect taxes are commonly used and imposed by the government to generate revenue. They are essentially fees that are levied equally upon taxpayers, no matter your income- so, rich or poor, everyone has to pay them. Many consider them to be regressive taxes, as they can bear a heavy burden on people with lower incomes who end up paying the same amount of tax as those who make a higher income. For example, the import duty on a television from Japan will be the same amount, no matter the income of the consumer purchasing the television. And because this levy has nothing to do with a person's income, someone who earns 50,00,000rs a year will have to pay the same duty on the same television as someone who earns 1,50,000rs. **Hence, statement 2 is correct.**

- Q 16. D** • In the past decade, India's tax collection has shifted significantly toward higher direct tax contributions, driven by economic growth and digital administration. The gross direct tax collections in the country have witnessed a 274 percent growth over the last ten years. between 2013-14 and 2024-25, the refunds issued by the tax department have increased by 474 percent, and the taxpayer base has grown by 133 percent.
- Further, in the past decade, the India's direct tax collection (Corporate & Personal Income Tax) has shown strong growth, often surpassing expectations and outperforming indirect tax growth, becoming a key revenue source for the Centre, though overall tax revenue still relies heavily on indirect taxes like GST when combining state and central collections.



- With reference to the fiscal deficit of the Union government, the fiscal deficit has generally shown a decreasing trend except during the years 2019-20 to 2020-21 when Covid-19 impacted the fiscal policy. So, it has not consistently decreased as can be seen from the below chart.



- Thus, both statements I and II are not correct. Hence, option (d) is the correct answer.

- Q 17. C** • The concept of effective Revenue deficit was introduced in the **Union Budget 2011-12**. It was later on given statutory status by an amendment to the Fiscal Responsibility and Budget Management (FRBM) Act by the Finance Act, 2012.
- **Effective Revenue Deficit is the difference between revenue deficit and grants for creation of capital assets. The concept of 'Grants for creation of capital assets' was introduced in the FRBM Act through the amendment in 2012. It defines grants for creation of capital assets as grants-in-aid given by the Central Government to State governments, autonomous bodies, local bodies and other scheme implementing agencies for creation of capital assets which are owned by these entities.**

Q 18. B Current Weekly Status (CWS) under the Periodic Labour Force Survey (PLFS)

- The Periodic Labour Force Survey (PLFS), conducted by the National Statistical Office (NSO), uses multiple reference periods to measure employment and unemployment in India. One of the most important among these is the Current Weekly Status (CWS), which captures short-term and seasonal variations in employment.

What is the Current Weekly Status (CWS)?

- Under the CWS approach, the activity status of a person is determined with reference to the seven days preceding the date of the survey. This method is particularly useful in an economy like India, where employment is often irregular, informal, and seasonal.

Criterion for Being Considered Employed under CWS

A person is treated as employed under the CWS approach if:

- He or she has worked for **at least one hour on any day during the seven days preceding the survey. Hence, option (b) is the correct answer.**
- Even minimal engagement in economic activity—paid or self-employment—for one hour on a single day during the reference week qualifies as employment.

- Q 19. A** • Marginal utility is the additional satisfaction a consumer gains from consuming one more unit of a good or service. Marginal utility is an important economic concept because economists use it to determine how much of an item a consumer will buy. Positive marginal utility is when the consumption of an additional item increases the total utility. Negative marginal utility is when the consumption of an additional item decreases the total utility.
- Imagine that a person has four bottles of water and purchases a fifth bottle of water. Next, imagine that a second person has 50 bottles of water and purchases one more bottle of water. The first person buying the fifth bottle of water will get far more utility from that fifth bottle of water because of its proportion to the total. This fifth bottle increases the total water by 25%. The second person gains far less utility from purchasing a 51st bottle of water, precisely because its proportion to the total is so low. This 51st bottle of water increases the total water by only 2%. As a person purchases more and more of a product, the marginal utility to the buyer gets lower and lower, until it reaches a point where the buyer has zero need for any additional units of the good or service. At that point, the marginal utility of the next unit equals zero.

- Q 20. B** • Transfer pricing is the setting of the price for goods and services sold between controlled (or related) legal entities within an enterprise. For example, if a subsidiary company sells goods to a parent company, the cost of those goods paid by the parent to the subsidiary is the transfer price.

- In the context of transfer pricing mechanism, safe harbour refers to a situation when an eligible assessee has entered into an eligible international transaction and the transfer price declared by the assessee in respect of such transaction is accepted by the income-tax authorities. Thus, 'Safe Harbour' means conditions in which income tax authorities shall accept the transfer price declared by the taxpayer.

Q 21. B • Paraná Valles refers to one of the largest ancient river drainage systems on Mars. Recent studies and mapping suggest that it was formed by massive flows of liquid water billions of years ago, providing important evidence about Mars' wetter and warmer past. **Hence, option (b) is the correct answer.**

Q 22. D • **Recent Context:** The 11th session of the Governing Body of the ITPGRFA recently concluded in Lima, Peru.

About ITPGRFA

- It was adopted at the Food and Agriculture Organization (FAO) Conference in 2001 and came into force in 2004. Hence, statement 1 is correct.
- It is the first legally binding international agreement dedicated to crop genetic diversity. Hence, statement 2 is correct.
- Its main goal is to conserve crop diversity, promote its sustainable use, and ensure that the benefits are shared fairly.
- It comprises 154 countries and the European Union (Including India). Hence, statement 3 is correct.

Q 23. B • **The primary objective of Operation Hinterland Brew was to dismantle a clandestine synthetic drug (Mephedrone) manufacturing unit in a rural area.**

- This specialized anti-narcotics operation was conducted by the Directorate of Revenue Intelligence (DRI) to target the source of synthetic drug production in remote, difficult-to-access regions and disrupt the supply chains. The operation successfully led to the bust of an illicit Mephedrone manufacturing facility in Wardha, Maharashtra, seizing a significant quantity of the drug and precursor chemicals. **Hence, option (b) is the correct answer.**

Q 24. B • **A bear market is one that is in decline.** Share prices are continuously dropping, resulting in a downward trend that investors believe will continue in the long run, which, in turn, perpetuates the spiral. During a bear market, **the economy will typically slow down and unemployment will rise** as companies begin laying off workers. **In a bear market, investors rush to sell their stocks before they lose more value. Hence statement 2 is correct and statements 1 and 3 are not correct.**

- A bull market refers to a market that is on the rise. It is typified by a sustained increase in market share prices. In such times, investors have faith that the uptrend will continue in the long term. Typically, the country's economy is strong and employment levels are high. Typically, the country's economy is strong and employment levels are high.

Q 25. D • **Recent Context:** World Health Organization (WHO) issues Global Guideline on the use of GLP-1 Medicines in treating Obesity

- These guidelines provides recommendations specifically for three GLP-1 drugs used in the long-term treatment of obesity in adults i.e. liraglutide, semaglutide, and tirzepatide.

About GLP-1 drugs or GLP-1 agonists:

- These are a class of drugs that mimic the hormone **Glucagon-Like Peptide-1 (GLP-1)**, which is naturally released from the gut after meals.
- GLP-1 receptor agonists help control blood sugar by increasing insulin when needed and reducing glucagon.
- **They also slow digestion and reduce appetite, leading to better satiety and weight loss.**
- **They are used mainly for Type 2 Diabetes and obesity management. Hence, option (d) is the correct answer.**

Q 26. C Characteristics of Indirect Tax:

- **Tax on goods and services:** Indirect tax is levied at the time of supply or manufacture or purchase or sale or import or export of goods. Further, it is also levied on supply.
- **Burden:** Tax, being indirect tax paid by the seller, shall be recovered by the seller from the buyer. Thus, one can say that burden of indirect tax is shifted from seller to buyer and ultimately borne by consumers of such goods or services.
- **Inflationary in nature: Cost of goods and services increases due to levy of indirect tax thus indirect taxes promote inflation.**
- **Social welfare: It is useful tool to promote social welfare by checking the consumption of harmful goods or sin goods through higher rate of tax.**
- **Wider Tax Base:** Majority of goods and services are liable to indirect tax with very low threshold limits, so tax base is much wider in case of indirect tax in compare to direct tax.
- **Regressive in Nature:** All persons (rich or poor) will bear equal wrath of tax on goods or service consumed by them irrespective of their ability. In other words, indirect tax does not create any difference between rich and poor. Poor people are also required to pay equal percentage of tax on certain goods and service of mass consumption. Thus, it may increase the disparities between rich and poor.
- **No pinch:** Seller (the person on which indirect tax is levied) does not perceive a direct pinch of tax as it is recovered by him from the buyer and then he is paying to the Government. On the other hand, since it is inbuilt in the price of the goods, the ultimate payer (i.e., buyer) pay it without knowing that he is paying any tax to the Government.

• Comparison between Direct and Indirect Tax

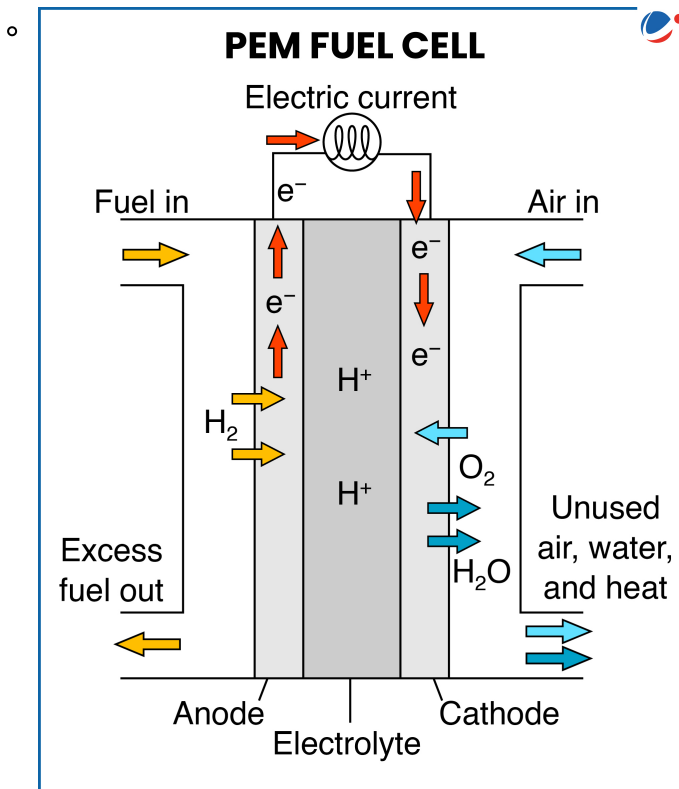
Basis	Direct Tax	Indirect Tax
Meaning	Direct tax is referred to as the tax, levied on person's income and wealth and is paid directly to the government	Indirect Tax is referred to as the tax, levied on a person who consumes the goods and services and is paid indirectly to the government.
Nature	Progressive in nature i.e., higher tax is levied on a person earning higher income and vice versa.	Regressive in nature i.e., all persons will bear equal wrath of tax on goods or service consumed by them irrespective of their ability.
Incidence and Impact	Falls on the same person. Assessee, himself bears such taxes. Thus, it pinches the taxpayer.	Falls on different person. Tax is recovered from the assessee, who passes such burden to another person. Thus, it does not pinch the taxpayer.
Example	Income Tax	GST, Custom Duty
Evasion	Tax evasion is possible	Tax evasion is hardly possible because it is included in the price of the goods and services.
Inflation	Direct tax helps in reducing the inflation.	Cost of goods and services increases due to levy of indirect tax thus indirect taxes promote inflation. However, sometimes it is useful tool to promote social welfare by checking the consumption of harmful goods or sin goods through higher rate of tax.
Imposition and collection	Imposed on and collected from the same person	Imposed on and collected from consumers of goods and services but paid and deposited by the assessee.
Burden	Cannot be shifted	Can be shifted
Event	Taxable income of the assessee	Supply of goods and services

- **Hence option (c) is the correct answer.**

Q 27. B • Recent Context: India's First Indigenous Hydrogen Fuel Cell Passenger Vessel begins in Varanasi.

Proton Exchange Membrane Fuel cell

- It makes electricity from hydrogen without burning it using a membrane.
- Its working principle involves an electrochemical reaction.
- Hydrogen enters the anode, where a catalyst splits it into protons (H^+) and electrons (e^-).
- Protons pass through the Proton Exchange Membrane, but electrons cannot.
- Electrons flow through an external circuit, generating electricity.
- Protons reach the cathode, where oxygen from the air is supplied.
- (Protons + electrons + oxygen) combine at the cathode to form water and a small amount of heat. **Hence, option (b) is the correct answer.**



Q 28. B Options and Futures Trading:

- Options trading is an essential component of financial markets, offering investors the flexibility to hedge risks or speculate on asset prices. A key concept in options trading is the classification of options as In-the-Money (ITM), At-the-Money (ATM), or Out-of-the-Money (OTM) based on the relationship between the market price (spot price) of the underlying asset and the strike price of the option contract.

Understanding Call Options

- A Call Option is a financial derivative that gives the buyer (holder) the right, but not the obligation, to buy an underlying asset at a predetermined price (strike price) on or before a specified expiration date.

The key components of a call option include:

- **Strike Price** – The fixed price at which the option holder can buy the underlying asset.
- **Market Price (Spot Price)** – The current price of the asset in the open market.
- **Expiration Date** – The date by which the option must be exercised or it becomes worthless.

Definition of In-the-Money (ITM) Call Option

- A Call Option is considered In-the-Money (ITM) **when the market price of the underlying asset is higher than the strike price. Hence option (b) is the correct answer.**
- This means that if the option holder exercises the contract, they can buy the asset at the lower strike price and sell it at the higher market price, thus making a profit (excluding premium costs and fees).

For example:

- If an investor holds a call option with a strike price of ₹100, and the market price of the asset is ₹120, the option is considered In-the-Money (ITM) since exercising it would result in a ₹20 profit per unit (excluding costs).

Definition of Out-of-the-Money (OTM) Call Option

- A Call Option is considered Out-of-the-Money (OTM) **when the market price of the underlying asset is lower than the strike price.**
- This means that if the option holder exercises the contract, they would have to buy the asset at a higher strike price while the market price is lower, leading to a financial loss. As a result, OTM options generally expire worthless, and traders holding these options often choose not to exercise them.

For Example:

- If an investor holds a call option with a strike price of ₹120, and the market price of the asset is ₹100, the option is considered Out-of-the-Money (OTM) because exercising it would result in buying at ₹120 while the asset is available in the market for ₹100, making it an unprofitable trade.
- Since OTM options have no intrinsic value, they are generally traded based on their time value and volatility expectations rather than immediate profitability.

- Q 29. A • Recent Context:** Chola and Dok La passes in Sikkim are opened for battlefield tourism under the Bharat Rannbhoomi Darshan initiative.
- Bharat Rannbhoomi Darshan is a joint initiative of Indian Army and Ministry of Tourism, for citizens to visit historic war zones and sites of military significance.

Cho La Pass

- **Location: Chola range of Eastern Himalayas, 17782 ft. above the sea level. Hence, pair 1 is not correctly matched.**
- Jelep La Passe is also situated in Chola range.
- Connects Sikkim and Chumbi Valley.
- It was site of 1967 Indo-China skirmishes.



o

Shipki La is located in the **Kinnaur district of Himachal Pradesh**. It serves as a boundary post on the frontier with China. Notably, the Sutlej River enters India from Tibet through this pass. Hence, pair 2 is correctly matched.



o

Bomdila Pass is located in **Arunachal Pradesh**. It connects the state to Lhasa in Tibet and is situated to the east of the Bhutan border. It is a critical gateway in the Kameng sector. Hence, pair 3 is not correctly matched.



o

- Q 30. C** The circular flow of income or circular flow is a model of the economy in which the major economic exchanges are represented as flows of money, goods and services, etc. between economic agents. The exchanged money and goods move in a closed circuit hence referred to as circular flow. It is facilitated as follows:
- The firms need the factors of production to run the production processes to make goods/services for the consumption of the public. **Hence statement 1 is correct.**
 - Public contributes to the production process through its labour. They are paid in return for their services through payments/salaries. **Hence statement 2 is correct.**
 - This money is spent by the public to fulfil its demand for goods and services. It creates payments to the firms and enables the sale of the products they produce. So the social act of consumption and production are intricately linked and, in fact, there is a circular causation.
- Q 31. C**
- **Statement 1 is correct:** Sensex, otherwise known as the S&P BSE Sensex index, is the benchmark index of the Bombay Stock Exchange (BSE) in India. Sensex is composed of 30 of the largest and most actively-traded stocks on the BSE, providing an accurate gauge of India's economy. Initially compiled in 1986, the Sensex is the oldest stock index in India.
 - **Statement 2 is correct:** Sensex is calculated by assigning proportional weightage to all the stocks using "Market Capitalisation-Weightaged" methodology in which weights are **assigned** according to the size of the company. Larger the size, higher the **weightage**.
- Q 32. C**
- The current members of BRICS are Brazil, Russia, India, China, South Africa, Egypt, Ethiopia, Iran, the United Arab Emirates, and Indonesia. The group originated with Brazil, Russia, India, and China (BRIC), with South Africa joining later to form BRICS, before the recent expansion added Egypt, Ethiopia, Iran, and the UAE in 2024 and Indonesia in 2025. **Hence, statement 1 is correct.**
 - BRICS does not have a single permanent headquarters for all its operations. It functions as an informal coordination platform with a rotating presidency. The New Development Bank (NDB), a key institution established by BRICS, has its permanent headquarters in Shanghai, China, not Beijing. **Hence, statement 2 is not correct.**
 - India will assume the rotating Chairship of BRICS in 2026 and is scheduled to host the 18th BRICS Summit that year. The announcement was made at the conclusion of the 17th BRICS Summit in Brazil. **Hence, statement 3 is correct.**
- Q 33. C**
- **The concept of economic territory** is carved out of geographical territory by adding some portions of the rest of the world and by subtracting some portions of geographical territory. This addition and subtraction is made strictly on the basis of some well defined economic criterion. **The criterion is laid down in the System of National Accounts (SNA) developed by the United Nations.**
- According to the SNA, the economic territory of a country consists of geographical territory administrated by a government within which persons, goods and capital circulate freely. It includes:
- the airspace, **territorial waters, and continental shelf** lying in the international waters over which the country enjoys exclusive rights;
 - territorial enclaves in the rest of the world such as embassies, consultants, military basis, etc. and
 - **any free zones**, or bonded warehouses or factories operated by offshore enterprises under customs control. It also includes **Special Economic Zones**.
- It does not include**

- **territorial enclaves used by foreign governments** such as foreign embassies, foreign consultants, etc. and
- international organizations.
- To take an example, consider the **British High Commission in New Delhi. It is taken as part of British Economic Territory.** All economic activities of the British High Commission are taken to be taking place in the economic territory of Britain and are accounted for in the Britain's GDP. Similarly all **economic activities of Indian embassy in Washington are accounted for as part of India's GDP.**
- **Hence, option (c) is the correct answer.**

Q 34. A • The Kimberley Process Certification Scheme (KPCS) is the process established in 2003 to prevent "conflict diamonds" from entering the mainstream rough diamond market.

- The scheme was **established under United Nations General Assembly Resolution 55/56, following recommendations in the Fowler Report of March 2000.** The process was set up "to ensure that diamond purchases were not financing violence by rebel movements and their allies seeking to undermine legitimate governments"
- **India is the founding member of Kimberley Process Certification Scheme (KPCS)** and is actively involved in KP activities to ensure that almost 99 per cent of the diamond trade in the world is conflict free.
- **Under the terms of the KPCS participants must:**
Satisfy 'minimum requirements' and establish national legislation, institutions and import/export controls.
 - Commit to transparent practices and to the exchange of critical statistical data.
 - Trade only with fellow members who also satisfy the fundamentals of the agreement.
 - Certify shipments as conflict-free and provide the supporting certification.
- **Hence, option (a) is the correct answer.**

Q 35. B • Income elasticity of demand denotes the responsiveness to change in consumers' income with the change in the demand for a certain good. For a certain product, the income elasticity of demand can be positive or negative, or non-responsive.

- The larger the income elasticity of demand for a certain product, the greater the shift in demand there is from a change in consumer income.

Income Elasticity of Demand Types:

- **Positive income elasticity of demand:** It refers to a condition in which demand for a commodity rises with a rise in consumer income and declines with a decline in consumer income. **Commodities with positive income elasticity of demand are normal goods.**
- **Negative income elasticity of demand:** It refers to a condition in which demand for a commodity decreases with a rise in consumer income and increases with a fall in consumer income. **Inferior goods are such commodities.**
- **Zero income elasticity of demand:** It corresponds to the situation when there is no impact of rising household income on commodity production. **Such goods are termed essential goods.** For example, a high-income consumer and a low-income consumer will need salt in the same quantity.

- A normal good is a good that experiences an increase in its demand due to a rise in consumers' income. Normal goods has a positive correlation between income and demand. Examples of normal goods include food staples, clothing, and household appliances.
- An inferior good is a type of good whose demand declines when income rises. In other words, demand of inferior goods is inversely related to the income of the consumer.
- **Hence, option (b) is the correct answer.**

Q 36. C • **Statement 1 is correct:** The Gross Domestic Product (GDP) deflator is a measure of general price inflation. It is calculated by dividing nominal GDP by real GDP and then multiplying by 100. Nominal GDP is the market value of goods and services produced in an economy, unadjusted for inflation (It is the GDP measured at current prices). Real GDP is nominal GDP, adjusted for inflation to reflect changes in real output (It is the GDP measured at constant prices). **GDP Deflator = (Nominal GDP/ Real GDP) x 100**

- **Statement 2 is correct:** The weights of goods and services in GDP deflator are not constant and differ according to the production level of each good and services in the country. Due to these changes in consumption patterns or the introduction of new goods and services or structural transformation are automatically reflected in the deflator which is not the case with other inflation measures.

Q 37. A • The marginal propensity to consume (MPC) is the **fraction of total additional income that people use for consumption of goods and services, as opposed to saving it. Hence option (a) is the correct answer.**

- Marginal propensity to consume is a component of Keynesian macroeconomic theory and is calculated as the change in consumption divided by the change in income ($\Delta C / \Delta Y$). If consumption increases by 80 paise for each additional rupee of income, then MPC is equal to $0.8 / 1 = 0.8$.

Q 38. B • Treasury Bills (T-Bills) are government bonds or debt securities with maturity of less than a year. T-bills are issued to meet short-term mismatches in receipts and expenditure.

- **Commercial Paper (CP) is an unsecured money market instrument issued in the form of a promissory note. CPs are short-term instruments and the maturity period varies from seven days to up to one year. CPs can be issued by corporates, primary dealers, and financial institutions.**
- A certificate of deposit (CD) is a savings certificate with a fixed maturity date and specified fixed interest rate that can be issued in any denomination aside from minimum investment requirements. A CD restricts access to the funds until the maturity date of the investment. CDs are generally issued by commercial banks.
- A repurchase agreement, or repo for short, is a type of short-term loan much used in the money markets, whereby the seller of a security agrees to buy it back at a specified price and time. The seller pays an interest rate, called the repo rate, when buying back the securities.

Q 39. A • In economics, a public good refers to a commodity or service that is made available to all members of a society. Typically, these services are administered by governments and paid for collectively through taxation.

- Examples of public goods include law enforcement, national defence, and the rule of law. Public goods also refer to more basic goods, such as access to clean air and drinking water.

A public good has two characteristics:

- **Non-rivalry – consuming the good doesn't reduce the amount available to other people.**
- **Non-excludable – once provided you can't stop anyone consuming it. It is not possible to exclude people from using the good.**
- **Merit Goods:** Goods or services whose consumption is believed to confer benefits on society as a whole greater than those reflected in consumers' own preferences for them. **Hence statement 3 is not correct.**
- **Hence, option (a) is correct.**

- Q 40. B**
- In economics, goods can be categorized in many different ways. One of the most common distinctions is based on two characteristics: excludability and rivalrousness. That means we categorize goods depending on whether people can be prevented from consuming them (excludability) and whether individuals can consume them without affecting their availability to other individuals (rivalrousness).
 - Based on those two criteria, we can classify all physical products into four different types of goods: private goods, public goods, common resources, and club goods.
 - **Private Goods are products that are excludable and rival.** They have to be purchased before they can be consumed. Thus, anyone who cannot afford private goods is excluded from their consumption. Likewise, the consumption of private goods by an individual prevents other individuals from consuming the same goods. Therefore, private goods are also considered rival goods. Examples of private goods include chocolate, ice cream, cheese, houses, cars, etc.
 - **Public goods describe products that are non-excludable and non-rival.** That means, no one can be prevented from consuming them, and they can be used by individuals without reducing their availability to other individuals. Examples of public goods include fresh air, knowledge, national defense, street lighting, etc.
 - **Common resources are defined as products or resources that are non-excludable but rival.** That means they can be used by virtually anyone. However, if one individual consumes common resources, their availability to other individuals is reduced. Examples of common resources include freshwater, timber, pasture, etc.
 - **Club goods are products that are excludable but non-rival.** Thus, individuals can be prevented from consuming them, but their consumption does not reduce their availability to other individuals (at least until a point of overuse or congestion is reached). Club goods are sometimes also referred to as artificially scarce resources. Examples of club goods include cable television, private parks, wireless internet, roads, etc. **Hence, option (b) is correct.**

- Q 41. D**
- **The Draft Red Herring Prospectus** is an initial document filed with regulatory bodies by a company intending to launch an Initial Public Offering (IPO) or a public issue. The DRHP contains essential information about the company's business, operations, financial performance, and prospects.
 - Once SEBI approves the DRHP, it is revised and finalized into the Red Herring Prospectus (RHP). **The Red Herring Prospectus (RHP)** is an evolved version of the DRHP, is a more comprehensive document. **It includes details about the company, its operations, the IPO specifics (such as**

issue size, and price band), and the risks associated with the investment. The RHP provides more **comprehensive information about the company, its operations, financials, and risks associated with the investment**. The RHP acts as an intermediary stage between the preliminary DRHP and the Final Prospectus, aiming to provide a more comprehensive understanding of the investment opportunity while still withholding the exact pricing details until the final stages of the offering. SEBI also scrutinizes the RHP to ensure that it provides accurate and adequate information for investors to make decisions. **Hence, option (d) is the correct answer.**

- Upon SEBI's approval of the RHP, the company can proceed with the IPO, making the RHP available to potential investors during the offer period. **The Prospectus is the finalized document that discloses all pertinent information about the offering. It includes the offer price, the quantum of securities, and other essential details.**

Q 42. B • The yellow line is between Israel (IDF-controlled buffer zone) and Palestinian-administered areas (Hamas-controlled) within Gaza.

It is a ceasefire line from a recent US-backed plan, marking Israeli withdrawal zones and dividing Gaza, named for the yellow concrete blocks used. **Hence, pair 1 is not correctly matched.**

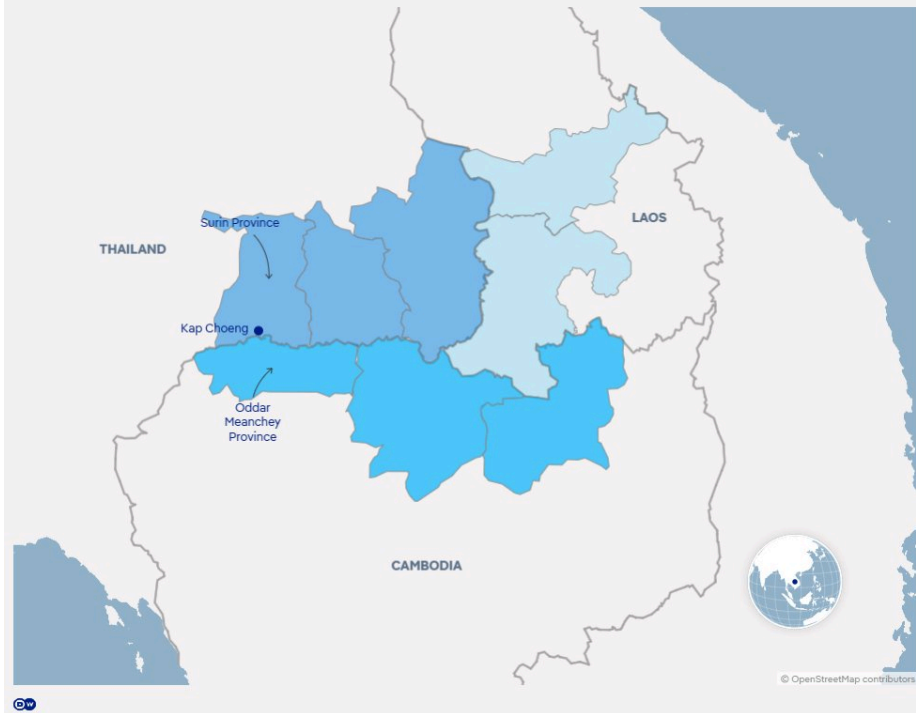


- The Afar Region is a regional state in northeastern Ethiopia, located in East Africa, and is home to the Afar people and part of the Great Rift Valley. **Hence, pair 2 is correctly matched.**



- The Emerald Triangle is a forested border region where the borders of Thailand, Laos, and Cambodia meet, which is within Southeast Asia. It is known for its rich biodiversity and also historical issues with logging and conflict. **Hence, pair 3 is correctly matched.**

- **Emerald Triangle**



- Q 43. A** • **Gross capital formation (GCF) refers to the aggregate of gross additions to fixed assets** (i.e., fixed capital formation), increase in stocks of inventories, hereinafter referred to as change in stocks during a period of account and net acquisition of valuables. Broadly two types of fixed assets namely construction and machinery & equipment (including transport equipment, **software**, **breeding stock**, draught animals, dairy cattle and the like) are covered.
- Construction for military purposes (other than construction or alteration of family dwellings for military personnel), defence equipment, **durable goods in the hands of the households** and **increase in the stocks of defence materials are excluded from the scope of gross capital formation**. However, capital outlays of defence enterprises on ordinance and clothing factories are included. **Software which was earlier included in the machinery and equipment, is now segregated from machinery and equipment and shown as a separate item.**
 - **Machinery and equipment comprises** all types of machinery like agricultural machinery, power generating machinery, manufacturing, transport equipment, furniture and furnishings. Increments in livestock in respect of breeding stock, draught animals, dairy cattle and other animals raised for wool clippings are also included.
 - **Additions to non-reproducible tangible assets such as land, mineral deposits and the natural growth of standing timber or crops have not been included in GCF.**
 - **Hence, option (a) is the correct answer.**

- Q 44. C** The main goal of fiscal policy in a newly developing economy is the promotion of the highest possible rate of capital formation. The fiscal policy in developing economy should apparently be conducive to rapid economic development. Developing Economy, fiscal policy can no longer remain a compensatory fiscal policy. It has a tough role to play in a developing economy and has to face the problem of growth-cum-stability. The Roles of Fiscal Policy in developing Economy are discussed as below:

- **Resource Mobilization:** Owing to acute poverty, the marginal propensity to consume is very high in developing economies. As a result the level of saving is very low in these economies.

Therefore fiscal policy has an important role to play in mobilizing saving for capital formation through taxation and public borrowing. It can also influence capital formation and savings in the private sector through granting of various tax concessions and subsidies.

- **Development of Private Sector:** In a developing economy private sector forms an important constituent of the economy. The production and productivity of private sector can be influenced by fiscal policy. Tax relief, rebates, subsidies may be granted to boost up the productive activity in the private sector. Fiscal tools and measures can be used to activate capital market to ensure availability of adequate resources for the private sector.
- **Optimization of Resources Allocation:** In developing economies, fiscal tools can be utilized to effect optimum allocation of resources. Very often resources in private sector are directed towards the production of goods which cater to the requirement of richer section of society. Fiscal tools can be employed to allocate the mobilized resources in desirable channels of investment. Thus, process of reallocation can be done by various tax incentive measures and subsidy programmes.
- **Creation of Social and Economic Overheads:** In developing economics, there is the lack of proper development of basic infrastructures which are vital requirements for economic development. Provision of social overheads like education and health service will directly enhance the productive capacity of the people. Expenditure incurred for the provision of economic overheads like transport facilities, power generation and telecommunication facilities which will speed up the process of industrialization. Hence, government has to provide investments on Building of social and economic overheads through fiscal measures of taxation and expenditure programmes.
- **Balanced Regional Development:** Developing economies face the problem of regional imbalance in the matter of economic development. Fiscal tools like tax concession, tax holiday, subsidies, concessions in infrastructure utilization etc., can be given to private investors to attract private investment in these backward geographical areas as part of the strategies for balanced growth.
- **Economic Stability:** Fiscal tools such as taxation and expenditure programmes can be utilized as an effective tool to control cyclical fluctuations arising during the process of economic development. Taxation is an effective instrument to deal with inflationary and deflationary situations.
- **Reduction of Inequality:** Provision of equality in income wealth and opportunities form an integral part of economic development in developing economics. Fiscal policy has an important role to play in reducing inequality. Instruments of taxation must be used as a means to bring about redistribution of income. The various fiscal measures directed towards reduction of inequality in income, wealth and opportunity are: progressive taxation of income and property, imposition of heavy taxation on luxury goods, tax exemption or concession to commodities of mass consumption, government expenditure on relief programmes, and provision of essential commodities at subsidized price through fair price shops to the poor etc.
- **Directly controlling the supply of money in an economy is mainly a monetary policy function and not a fiscal policy function though it indirectly affects the money supply through taxation and incentives, etc. Hence, option (c) is the correct answer.**

Q 45. C • **Production taxes** are independent of the quantity (volume) of production. It is often imposed even if the products are not produced. Production taxes are paid with relation to production and are

independent of the volume of actual production. For example: land revenues, **stamps fees, registration fees, tax on the profession. Hence option (c) is the correct answer.**

- Similarly, **Production Subsidies** are received with relation to production and are independent of the volume of actual production. For example: subsidies to Railways, **input subsidies to farmers**, subsidies to the village and small industries, administrative subsidies to corporations or cooperatives.
- **Product taxes** depend on quantity produced and are paid on per unit of product. Though the product taxes are imposed on the producers but they are ultimately borne by the consumers (as it is an indirect tax). For example: **GST**, service tax and import and export duties.
- **Product Subsidies** depends on quantity produced and are received on per unit of product. For example: subsidies on food, petroleum and fertilizer, interest subsidies given to farmers, households, subsidies for providing insurance to households at lower rates.

Q 46. B • ASBA means “Application Supported by Blocked Amount”. ASBA is an application by an investor containing an authorization to Self Certified Syndicate Bank (SCSB) to block the application money in the bank account, for subscribing to an issue. **If an investor is applying through ASBA, his application money shall be debited from the bank account only if his/her application is selected for allotment after the basis of allotment is finalized. Hence, statement 1 is correct.**

- If an investor is applying through ASBA, his application money shall be debited from the bank account only if his/her application is selected for allotment after the basis of allotment is finalized, or the issue is withdrawn / failed.
- While the Reserve Bank of India (RBI) oversees banking operations, **the rules for the ASBA (Applications Supported by Blocked Amount) facility in capital markets are primarily regulated by the Securities and Exchange Board of India (SEBI)** through its ICDR Regulations and guidelines, with Self-Certified Syndicate Banks (SCSBs) facilitating the process under SEBI mandates. **Hence, statement 2 is not correct.**
- **In all public issues like IPOs, FPOs and Rights Issues, issuer is mandatorily required to provide only ASBA as mode for payment. Hence, statement 3 is correct.**

Q 47. C SLR (Statutory Liquidity Ratio) set by the Reserve Bank of India (RBI) is a mandatory reserve requirement for commercial banks, forcing them to hold a certain percentage of their deposits (NDTL) in liquid assets like cash, gold, or government securities, ensuring bank solvency and controlling money supply/inflation. It's a key monetary tool, with the RBI setting the rate (currently around 18%) to manage credit flow and economic growth. It Includes:

- Cash reserve: Banks must maintain a certain amount of cash with themselves as part of their liquid assets for SLR compliance. **Hence, point 2 is correct.**
- Gold: Gold held by banks is also a permissible asset for meeting the SLR requirements. **Hence, point 4 is correct.**

Securities: These are considered unencumbered government securities and are eligible assets for meeting SLR requirements.

- Dated securities of the Government of India issued from time to time under the market borrowing programme and the Market Stabilisation Scheme; or
- Treasury Bills of the Government of India; **hence, point 1 is correct.**

- State Development Loans (SDLs) of the State Governments issued from time to time under the market borrowing programme:
- **Commercial bonds:** Commercial bonds are not included because the Statutory Liquidity Ratio (SLR) is a prudential measure that requires banks to hold highly liquid and safe assets, primarily those issued by the government, to minimise risk and ensure stability. Commercial bonds carry commercial credit risk and are not government-approved for this specific ratio. **Hence, point 3 is not correct.**
- **Hence, option (c) is the correct answer.**

Q 48. B • Akash Next Generation (Akash-NG) is a surface-to-air missile (SAM) system, not an air-to-air missile. **Hence, statement 1 is not correct.**

- The Akash missile system is designed to engage multiple aerial targets simultaneously (up to around ten, depending on configuration). **Hence, statement 2 is correct.**
- Akash-NG is a conventional air defence missile; it is not nuclear-capable and does not deliver a one-tonne warhead to 300 km (that description fits ballistic missiles, not SAMs). **Hence, statement 3 is not correct.**

Q 49. C • Nidhi in the Indian context/language means “treasure”. However, in the Indian financial sector, it refers to any mutual benefit society notified by the Central / Union Government as a Nidhi Company.

- They are created mainly to cultivate the habit of thrift and savings among its members. **Hence, statement 1 is correct.**
- The companies doing Nidhi business, viz. borrowing from members and lending to members only, are known under different names such as Nidhi, Permanent Fund, Benefit Funds, Mutual Benefit Funds, and Mutual Benefit Company. **Hence, statement 2 is not correct.**
- Nidhi's are companies registered under section 620A of the Companies Act, 1956 (Section 406 of the new Companies Bill 2012, as passed by Lok Sabha) and are regulated by the Ministry of Corporate Affairs (MCA). **Hence, statement 3 is correct.**

Q 50. C Understanding non-cyclical unemployment

- Non-cyclical unemployment refers to types of unemployment that do not arise due to economic fluctuations (booms or recessions). It mainly includes frictional and structural unemployment.
- In contrast, cyclical unemployment is directly linked to economic slowdowns and recessions.

Evaluation of the Given Situations

Situation 1: A worker loses employment due to closure of a factory following an economic slowdown.

- This situation arises because of a decline in economic activity. When demand falls during a slowdown, firms reduce production and may shut down operations, leading to job losses.
- This is a classic case of cyclical unemployment, as it is directly tied to the business cycle.
- **Hence, option 1 is not correct.**

Situation 2: A graduate voluntarily leaves a job to search for better opportunities.

- Here, the worker is not forced out of employment. Instead, the unemployment occurs due to job search, mobility, or a desire for better wages or working conditions. Such unemployment

exists even in a growing economy.

- This represents frictional unemployment, which is a type of non-cyclical unemployment.
- **Hence, option 2 is correct.**

Situation 3: A handloom worker loses employment due to mechanisation in the textile industry.

- This unemployment is caused by technological change that alters the structure of production. Workers with outdated skills lose jobs because their skills no longer match market requirements.
- This is a clear example of structural unemployment, which is also non-cyclical in nature.
- **Hence, option 3 is also correct.**

Q 51. B • Recent Context: Deepavali is inscribed on UNESCO's Representative List of Intangible Cultural Heritage of Humanity

- With Deepavali's inclusion, India now has 16 elements in the list (see infographic).
- **Durga Puja – Inscribed (2021)**
- **Garba – Inscribed (2023)**
- **Deepavali – Recently inscribed in 2025**
- **Pongal – Not inscribed**
- **Chhath Puja – Not inscribed**
- **Hence, option (b) is the correct answer.**

About the UNESCO List of Intangible Cultural Heritage (ICH) of Humanity

- **Genesis:** Adopted on 17th October 2003, during UNESCO's 32nd General Conference in Paris.
Purpose: Safeguard ICH, referring to practices, representations, expressions, and knowledge, transmitted over generations within communities.
 - ICH as defined in the Convention includes oral traditions and expressions; performing arts; social practices, rituals and festive events; knowledge and practices concerning nature and universe; traditional craftsmanship, etc.
- **General Assembly of the State Parties:** Sovereign body that meets every two years in ordinary session.
- **Responsibility of State Parties:** Safeguarding of ICH is the prime responsibility of the State.



UNESCO's Intangible Cultural Heritage, India



2008	Kutiyattam , Sanskrit theatre; Tradition of Vedic chanting ; Ramlila .
2009	Ramman , religious festival and ritual theatre of the Garhwal Himalayas.
2010	Chhau dance ; Kalbelia folk songs and dances, Rajasthan; Mudiyettu , Kerala.
2012	Buddhist chanting of Ladakh .
2013	Sankirtana , Manipur.
2014	Traditional brass and copper craft of utensil making among Thatheras, Punjab.
2016	Yoga ; Navrouz
2017	Kumbh Mela
2021	Durga Pooja , Kolkata
2023	Garba , Gujarat
2025	Deepavali

Q 52. C • **Tobin tax is a duty proposed on spot currency trades to penalize short-term currency trading in order to stabilize markets and disincentive speculation.** It is a proposal to impose small tax on all foreign exchange transactions with the objective to discourage destabilising speculation and volatility in the foreign exchange markets.

- In the short-term market, the rapid inflows and outflows make it challenging to manage financial transactions. As a result, levying a Tobin tax could reduce volatility and regulate speculative capital flows or hot money. Tobin Tax burden is inversely related to transaction period or length.
- **Hence, option (c) is the correct answer.**

Q 53. D • A key challenge for India has been its low Tax-to-GDP ratio. Current Tax-to-GDP Ratio India's tax-to-GDP ratio stands at 11.7% (2024), much lower than the OECD average of 34.3% and the emerging market average of 20-25%. Hence, statement-I is not correct.

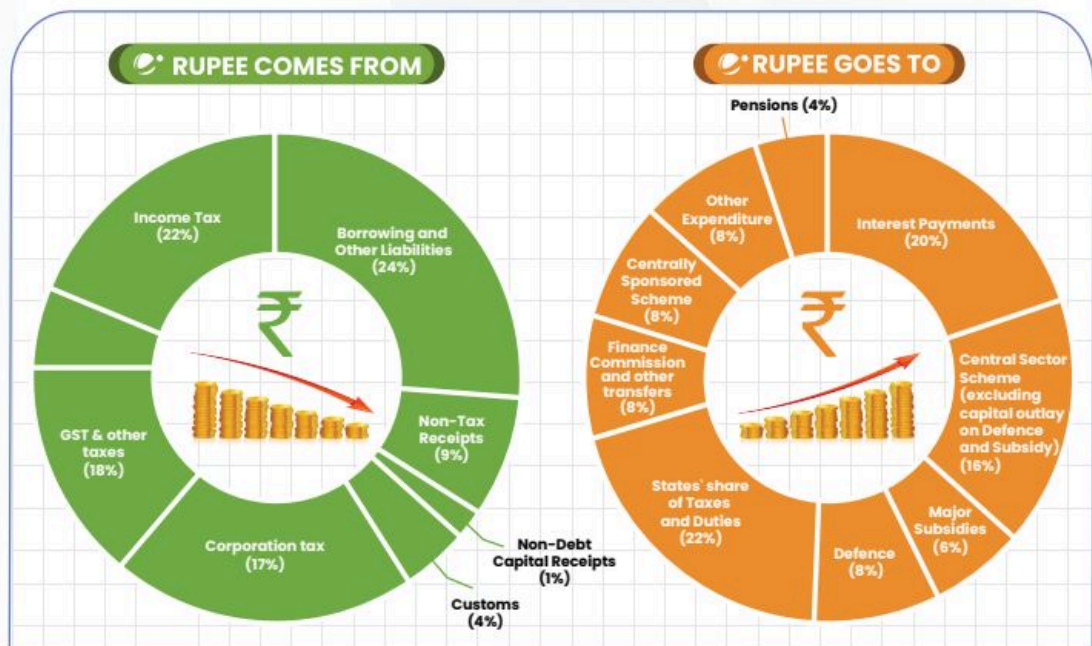
Key Reasons for India's Low Tax-to-GDP Ratio:

- Current Tax-to-GDP Ratio India's tax-to-GDP ratio stands at 11.7% (2024), much lower than the OECD average of 34.3% and the emerging market average of 20-25%.
- Large Informal Economy: Around 50% of India's GDP is from the informal sector, which remains largely untaxed, limiting the tax base.
- Tax Exemptions and Loopholes: Various tax exemptions in sectors like agriculture and exports reduce the overall tax revenue.
- Low Per Capita Income: With a per capita income around \$2,600 in FY25, the tax-paying base remains limited, restricting overall tax collection.
- Inefficient Tax Collection: Tax evasion and administrative inefficiencies reduce the effectiveness of the tax system.
- Dependence on Indirect Taxes: Indirect taxes (e.g., GST) contribute significantly to the tax revenue but are less progressive, limiting their effectiveness in capturing income from higher earners.

- A low ratio limits the government's fiscal capacity to invest in infrastructure and social sectors. Structural factors contributing to this include a large informal economy, tax exemptions, and low per capita income.
- However, there has been a recent rise in the tax-to-GDP ratio due to improvements in direct tax collection, tax reforms like GST reforms, and better compliance through digitization, signaling a positive shift in India's tax system. Hence, statement-II is correct.
- Thus, option (d) is the correct answer.

- Q 54. B**
- A bond is essentially a loan to the bond issuer. They are considered safe investments because bond values don't change the same way stock prices do. Investors earn interest on a bond throughout the life of the asset and receive the face value of the bond upon maturity.
 - A bond investor's return is called the yield. **Yield to maturity (YTM) is the internal rate of return (IRR) that equates all future cash flows of a bond to its current price.** YTM assumes the bond is held until maturity and that an investor can reinvest at the same yield. Unlike stock investments, bond issuers promise to pay the holder the full face value once it matures. Bonds come with two metrics: **YTM and coupon rate.** YTM is the total return expected on a bond if it's held until maturity. The coupon rate is the total amount the bond pays in income to the bondholder for as long as they hold it. The coupon rate is the interest paid annually on the bond's face value. A bond's YTM fluctuates over time while the coupon rate remains fixed.
 - A bond's price moves inversely with its YTM. An increase in YTM decreases the price and a decrease in YTM increases the price of a bond. **The relationship between a bond's price and its YTM is convex. Percentage price change is more when discount rate goes down than when it goes up by the same amount. Hence, statement 1 is correct.**
 - A bond discount occurs when a bond's market price is lower than its face value, often due to rising market interest rates. Bonds sold at a discount increase in value when they mature, leading to potential capital appreciation. The market value of bonds declines when newer bonds offer higher interest rates, making older bonds less attractive. **A premium bond, in contrast, sells for more than its face value when its coupon rate is higher than prevailing market rates.** Bonds can trade at a discount for various reasons, including excess supply over demand, lower credit ratings, or increased risk of default. **Hence, statement 2 is correct.**
 - A bond's volatility depends on two factors: its coupon rate and when it will be retired (at maturity or call date). **The longer the time until retirement, the greater the price volatility. The lower the coupon rate, the greater the price volatility. Hence, statement 3 is not correct.**

Q 55. A



- Thus, according to the chart above, option (a) is the correct answer.

- Q 56. A • **Veblen Goods:** Goods for which an increase in price encourages people to buy more of it. This is because they think more expensive goods are better.
- A Veblen good, like a Giffen good, has an upward-sloping demand curve, which runs counter to the typical downward-sloping curve. However, a Veblen good is generally a high-quality, coveted product, in contrast to a Giffen good which is an inferior product that does not have easily available substitutes. The increase in demand for a Veblen good reflects consumer tastes and preferences, unlike a Giffen good, where higher demand is directly attributable to the price increase.
 - Very expensive products – such as designer jewellery, pricey watches, and luxury cars – that are marketed as being 'exclusive', or which convey the appearance of success, can be classified as Veblen goods.
 - Veblen goods contradict the basic law of demand – which states that quantity demanded has an inverse relationship with price.

- Q 57. A • **Pareto efficiency, or Pareto optimality, is an economic state where resources cannot be reallocated to make one individual better off without making at least one individual worse off. Hence, option (a) is the correct answer.**
- Pareto efficiency implies that resources are allocated in the most economically efficient manner, but does not imply equality or fairness.
 - Pure Pareto efficiency exists only in theory though the economy can move toward Pareto efficiency. Such a move is called a Pareto improvement.
 - A Pareto improvement occurs when a change in allocation harms no one and helps at least one person, given an initial allocation of goods for a set of persons.
 - The theory suggests that Pareto improvements will keep enhancing value to an economy until it achieves Pareto equilibrium, where no more Pareto improvements can be made.
 - Conversely, when an economy is at Pareto efficiency, any change to the allocation of resources will make at least one individual worse off. Therefore, no matter how much efficiency we try to bring

out in the allocation of resources to different sections of society, there will always be some left out.

Q 58. C Private income is the total of the income of the factors from all the sources and current transfers from the government and the rest of the world accruing to private sector. It can be the income from all the sources i.e., factor incomes and transfer income received by the private sector. It also includes net factor income from abroad and interest on national debt (interest paid by the government on the loans). Hence, private income includes all types of income (earned and unearned).

- **Private Income = NDPFC accruing to private sector + NFIA + Net Transfer payments from government + Net Current Transfer Payments from Rest of World + Interest on National Debt**
- Hence, option (c) is the correct answer.

Q 59. C Mount Semeru (Indonesia):

- **Located** on the island of Java, Mount Semeru has seen intense activity in late 2025. In December 2025, it recorded multiple eruptions with ash plumes reaching up to 1,200 meters, leading authorities to maintain a high alert level (Level III) and a 5 km exclusion zone. **Hence, pair 1 is correctly matched.**



◦ **Mount Etna (Italy):**

- Mount Etna lies on the eastern coast of Sicily, an island belonging to Italy. On December 27-28, 2025, it produced high lava fountains (Strombolian activity) and ash clouds that were visible to skiers on the nearby Piano Provenzana slopes. **Hence, pair 2 is correctly matched.**



◦ **Kīlauea Volcano (Hawaii, USA):**

- Kīlauea is a shield volcano located on the Big Island of Hawaii, USA.
- It is among the world's most active volcanoes, driven by a mantle hotspot rather than plate boundaries. **Hence, pair 3 is correctly matched.**



Q 60. A **Types of Fiscal policy:** There are two main types of fiscal policy. They are:

- **Neutral Fiscal policy:** Fiscal policy is said to be neutral when the level of government spending in relation to tax revenue is stable over time. This type of policy is usually undertaken when an economy is in equilibrium- neither rapidly expanding nor contracting. In this instance, government spending is fully funded by tax revenue, which has a neutral effect on the level of economic activity.

Discretionary fiscal policy: Discretionary fiscal policy refers to government fiscal policy that alters government spending or taxes. Its purpose is to expand or shrink the economy as needed. It

has two sub-types as:

- **Expansionary Fiscal Policy:** Discretionary fiscal policy is said to be Expansionary when the government spends more money than its revenue collected through taxes. This type of fiscal policy is usually undertaken during recessions to increase the level of economic activity.
- **Contractionary Fiscal Policy:** Discretionary fiscal policy is said to be Contractionary when government spending is lower than tax revenue. This type of Fiscal policy is undertaken to pay down government debt and to curb inflation. Hence option (a) is the correct answer.

- Q 61. D** • **Angel funds refer to a money pool created by high net worth individuals or companies (generally called as angel investors), for investing in business start-ups.** They are a sub-category of venture capital funds with a strict focus on startups, while venture capital funds generally invest at a later stage of development of the investee company.
- **Hence statement (d) is correct.**

- Q 62. B** • **Recent Context:** Scientists have solved the mystery of 3.4 million-year-old fossils called the “Burtele Foot” discovered in Ethiopia in 2009.

About Burtele Foot

- **Morphology: Eight bones showing bipedal hominin with an opposable big toe, indicating continued tree-climbing. Hence, option (b) is the correct answer.**
- Recent findings of 25 teeth and jawbone of a 4.5-year-old child near the same site confirm that the foot belonged to *Australopithecus deyiremeda*.
- An early hominin species combining ape-like and human-like characteristics.
- Fossils shows its close relation to *Australopithecus afarensis*, species that includes the famous fossil Lucy, discovered in 1974 in the Afar region.

- Q 63. A** • **Revenue receipts: Revenue receipts** of a government are of two kinds—Tax Revenue Receipts and Non-tax Revenue Receipts.
- **Tax revenue receipts: This includes all money earned by the government via the different taxes the government collects, i.e., all direct and indirect tax collections. Hence, Goods and Services Tax is a tax revenue receipt. Hence, pair 3 is correctly matched.**

Non-Tax revenue Revenue Receipts: This includes all money earned by the government from sources other than taxes. In India they are:

- **Profits and dividends that the government gets from its public sector undertakings (PSUs). Hence, pair 1 is not correctly matched.**
- Interests received by the government out of all loans forwarded by it, be it inside the country (i.e., internal lending) or outside the country (i.e., external lending). It means this income might be in both domestic and foreign currencies.
- Fiscal services also generate income for the government, i.e., currency printing, stamp printing, coinage and medals minting, etc.
- General Services also earn money for the government such as the power distribution, irrigation, banking, insurance, community services, etc.
- Fees, Penalties and Fines received by the government.

- Grants which the governments receive- it is always external in the case of the Central Government and internal in the case of state governments.

Capital Receipts: All non-revenue receipts of a government are known as capital receipts. Such receipts are for investment purposes and are supposed to be spent on plan development by a government. But the receipts might need their diversion to meet other needs to take care of the rising revenue expenditure of a government, as the case had been with India. The capital receipts in India include the following capital kind of accruals to the government:

- **Loan Recovery:** This is one source of the capital receipts. The money the government had lent out in the past in India (states, UTs, PSUs, etc.) and abroad their capital comes back to the government when the borrowers repay them as capital receipts. The interests which come to the government on such loans are part of the revenue receipts.
- **Borrowings by the Government:** This includes all long-term loans raised by the government inside the country (i.e., internal borrowings) and outside the country (i.e., external borrowings). Internal borrowings might include borrowings from the RBI, Indian banks, financial institutions, etc. Similarly, external borrowings might include loans from the World Bank, the IMF, foreign banks, foreign governments, foreign financial institutions, etc.
- **Other Receipts by the Government:** This includes many long-term capital accruals to the government through the Provident Fund (PF), Postal Deposits, various small saving schemes (SSSs) and the government bonds sold to the public (as Indira Vikas Patra, Kisan Vikas Patra, Market Stabilisation Bond, etc.). Such receipts are nothing but a kind of loan on which the government needs to pay interest on their maturities. But they play a role in the capital raising process by the government. **Hence, pair 2 is not correctly matched.**

Q 64. A Context

- The Wholesale Price Index (WPI) is one of the key price indices used in India to track inflation at the wholesale level. It reflects price changes of goods traded in bulk and provides insights into cost pressures faced by producers and manufacturers.

What is the Wholesale Price Index (WPI)?

- WPI measures changes in prices of goods at the wholesale or producer level, before they reach the retail market. It does not capture prices of services and focuses only on goods.

The index broadly captures price movements across:

- Primary Articles (such as food articles and minerals),
- Fuel & Power, and
- Manufactured Products.

- This makes WPI particularly useful for assessing supply-side inflationary pressures in the economy. **Hence, statement 1 is correct.**

Base Year of WPI

- **The current base year of WPI is 2011–12, not 2015–16.**
- The base year was revised to 2011–12 to reflect changes in the structure of the economy, production patterns, and consumption trends.
- 2010–11 / 2012 is often confused with CPI base years, which makes this a common trap in objective questions.
- **Hence, statement 2 is not correct.**

Institutional Responsibility and Release

WPI is:

- Released on a monthly basis, and
 - Published by the Office of the Economic Adviser (OEA) under the Department for Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce and Industry.
- **Hence, statement 3 is also not correct.**

Q 65. D • The twin balance sheet problem refers to the increasing debt on the books of corporate entities and the estimated Rs10 trillion of stressed assets that have piled up at banks because of the inability of borrowers to repay. Thus, TBS is two-fold problems for Indian economy which deals with:

- Over leveraged companies – Debt accumulation on companies is very high and thus they are unable to pay interest payments on loans. 40% of corporate debt is owed by companies who are not earning enough to pay back their interest payments. In technical terms, this means that they have an interest coverage ratio less than 1.
- Bad-loan-encumbered-banks – Non Performing Assets (NPA) of the banks is 9% for the total banking system of India. It is as high as 12.1% for Public Sector Banks contributing to four-fifths of the total NPAs. As companies fail to pay back principal or interest, banks are also in trouble.
- Encumbered securities are securities that are owned by one entity, but subject to a legal claim by another.

Q 66. C Revenue Expenditure

Expenditure incurred to meet day to day and regular needs expenditure of government and that will not yield any revenue in future are termed as revenue expenditure. It is a one way payment. It means if government spends money it cannot recover it. These are:

- **Interest Payments: Interest paid on borrowing and other liabilities and discounts on treasury bills do constitute this category.**
- **Defence, Police: Expenditure towards law and order come under this head. Though defence equipments are capital in nature considered as revenue expenditure. But all the defence equipments are not in revenue expenditure nature.**
- **Subsidies: Subsidies on public distribution, fertilisers etc. are included in this category. Hence option 2 is correct.**
- **Grants to States & Union Territories: Grants given by Centre to states and union territories come under this head. Though these grants are spent under capital expenditure by receiving governments come under this head as stipulated by Article 34(c) of the Audit Code.**
- **Pensions and Salaries: Pensions and salaries of central government departments, and those paid out of consolidated as charged expenditure come under this category. Charged expenditure means the expenditures that can be spent without vote (approval) of legislature. Hence option 3 is correct.**
- **Economic Services: Non capital Expenditure towards Agriculture, Industry, Power, Transport, Communication etc are included in this item.**
- **Other General Services: Non capital Expenditure towards Organs of States, tax collection external affairs etc are included in this item.**

- **Social Services: Non capital Expenditure towards Education, Health, Broad casting etc., is included in this item. Hence option 1 is correct.**
- Postal Deficit Postal department is unable to meet its expenditure out of its own revenue. This short fall crosses ₹ 1,000 Crores. This is met by central government.
- Expenditure on Union Territories without Legislatures: Expenditure towards administration and other expenditure on Union Territories without legislatures come under this item.
- **Grants to Foreign Governments:** Grants given to foreign governments like Bhutan, Nepal, and some other developing countries towards their developmental expenditure and aid given during disaster, natural calamities to all foreign countries constitute this category. **Grants-in-aid is given in cash or in kind, but have to be always accounted for as revenue expenditure in the books of the grantor irrespective of the purpose for which it has been given. Hence, option (c) is the correct answer.**

Q 67. A • DHRUV64, India's first homegrown 1.0 GHz, 64-bit dual-core microprocessor, strengthens the indigenous processor pipeline. This marks a significant milestone in India's pursuit of self-reliance in semiconductor technology. **Hence, statement 1 is correct.**

- **DHRUV64 was developed by the Centre for Development of Advanced Computing (C-DAC),** a research and development organization under the Ministry of Electronics and Information Technology (MeitY), not Bharat Electronics Limited (BEL). It was developed under the government's Microprocessor Development Programme. **Hence, statement 2 is not correct.**

Q 68. A • India's GST Council approved a "GST 2.0" reform on September 3, 2025, aiming to simplify the tax structure, correct systemic inefficiencies, and stimulate domestic economic activity, as a strategic evolution of the original 2017 tax regime.

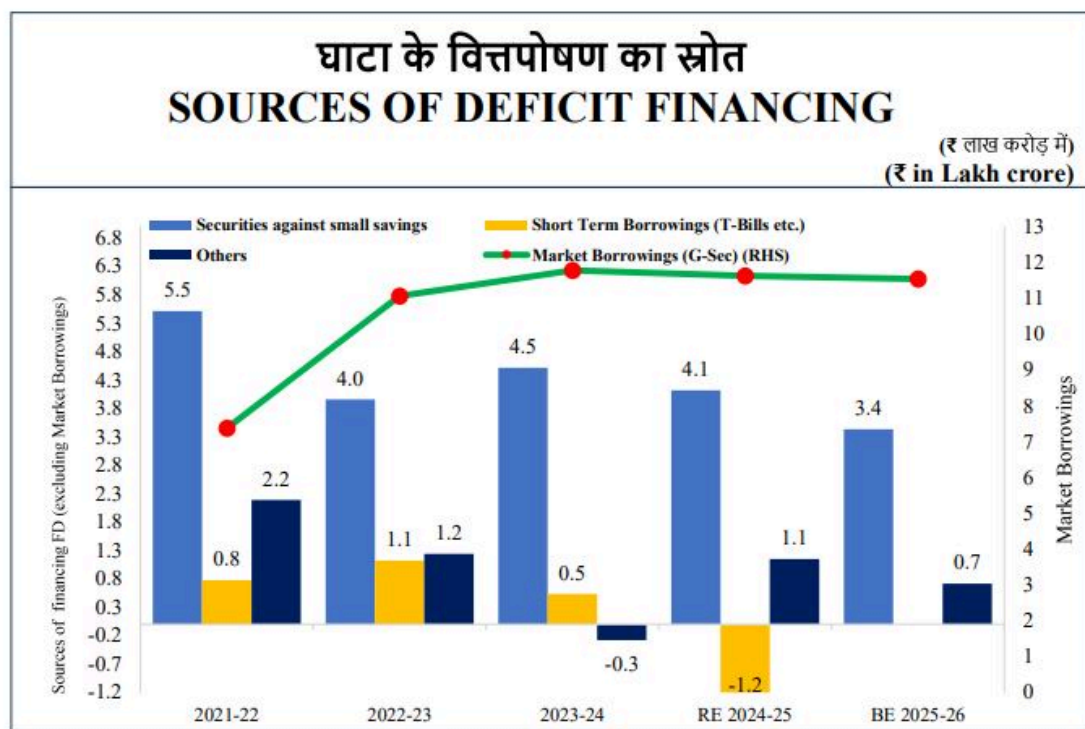
- Additionally, the reform includes significant administrative simplifications, such as a faster registration process for low-risk businesses and a simplified refund mechanism for exporters. This GST reform, effective from September 22, 2025, represents the most significant transformation in India's taxation system since the original GST implementation in 2017.
- The latest reforms mark a major simplification of the GST structure. The shift to a two-slab system of 5% and 18%, removing the earlier 12% and 28% rates, will make taxation more transparent and easier to follow. At the same time, a 40% on luxury and sin goods such as pan masala, tobacco, aerated drinks, high-end cars, yachts, and private aircraft ensures fairness and revenue balance.
- Alongside, registration and return filing have been simplified, refunds made faster, and compliance costs reduced, easing the burden on businesses, especially MSMEs and startups.
- Under the reforms, certain sin goods have attracted **the highest GST of 40%**. "Sin goods" are products that are generally considered harmful to society, which may cause harm to health, or if they are harmful by a moral prism. This includes alcohol, tobacco, gambling or betting, food products with high fat or sugar content, and so on. Such goods and services are taxed higher in a bid to dissuade people from using them. In addition to 'sin goods', ultra-luxury products and services are also taxed highest.

Here is a list of categories that are being taxed the highest (40 %):

- **Tobacco-related products such as pan masala, gutka, chewing tobacco, unmanufactured tobacco and refuse, cigars, cheroots, cigarillos, and substitutes.**

- Aerated, carbonated, sugary, and caffeinated beverages (including fruit drink variants).
- Motor vehicles including motorcycles exceeding 350 cc, petrol cars above 1,200 cc, and diesel cars above 1,500 cc (or length over 4,000 mm), as well as utility vehicles (SUVs, MPVs, etc.) meeting similar thresholds.
- Super-luxury items such as yachts, personal aircraft (including helicopters), and racing cars.
- Online gaming, gambling, lotteries, betting, and casino services, including admissions to certain sporting events.
- **Consumer durables like TVs (LCD/LED) (> 32’), ACs, dishwashers have seen reduced GST from 28% to 18%. Hence, option (a) is the correct answer.**

- Q 69. C**
- The government uses various sources to bridge the gap between its total expenditure and its total revenue (excluding borrowings). These sources include: **internal borrowing (from the public via bonds/T-bills, banks, financial institutions, and the RBI)**, external borrowing (from foreign sources), with recent trends emphasizing market borrowings and managing debt, while also drawing down cash reserves.
 - In India, all of the mentioned options—short-term borrowings like T-Bills, market borrowings, and securities against small savings—are ways the government finances its fiscal deficit. **Hence option (c) is the correct answer.**



टिप्पणियाँ:- 1. अन्य में राज्य भविष्य निधि, विदेशी कृण, नकद शेष में आहरण द्वारा कमी और अन्य प्राप्तियां शामिल हैं।

2. बजट अनुमान 2025-26 में टी बिल के माध्यम से निवल उधार शून्य है।

Notes:- 1. Others include State Provident Fund, External Debt, Drawdown of cash balance and other receipts.

2. Net borrowing through T-Bill is zero in BE 2025-26.

- Q 70. B**
- **Statement 1 is not correct:** Bank Rate is the rate at which the commercial bank gets loans and advances from the central bank.
 - **Statement 2 is correct:** Easy Money Policy is a policy by which Central Bank seeks to make money plentiful and available at low interest rate in market. Decreasing the Bank Rate decreases rate of loans and advances for consumers in market. The rise in the bank rate by the central bank

increases the interest rate on loans and advances by commercial banks. This makes the borrowing of money expensive for general public.

- Q 71. B**
- **Exercise Harimau Shakti is a joint annual military training exercise between the Indian Army and the Royal Malaysian Army**, focused on enhancing interoperability and sharing best practices for counter-terrorism and sub-conventional operations in jungle and semi-desert environments, involving drills like cordon/search, heliborne operations, and casualty evacuation, with the latest 2025 edition held in Rajasthan, India, concluding in December 2025. **Hence, pair 1 is correctly matched.**
 - **Desert Cyclone II is a joint exercise between India and the United Arab Emirates (UAE), not Mongolia.** Hence, pair 2 is not correctly matched.
 - **Exercise Ekatha (meaning 'Unity' in Dhivehi) is an annual joint maritime military exercise between the Indian Navy and the Maldives National Defence Force (MNDF)**, focusing on improving interoperability in specialized areas like diving, counter-terrorism, special operations, and asymmetric warfare to boost security and coordination in the Indian Ocean region. It involves complex drills, including combat diving, boarding operations (VBSS), demolitions, and heli-borne tactics, reinforcing the 'Neighbourhood First' policy and maritime security. **Hence, pair 3 is correctly matched.**

The 10th edition of the **India– Indonesia Joint Special Forces Exercise GARUDA SHAKTI** has commenced at the Special Forces Training School, Bakloh, Himachal Pradesh. The exercise is being conducted from 03 to 12 December 2025. **Hence, pair 4 is not correctly matched.**

- The exercise aims to strengthen mutual understanding, cooperation and interoperability between the Special Forces of the two nations. Its scope includes troop-level tactics, techniques and procedures in a counter-terrorism environment, covering unarmed combat techniques, combat shooting, sniping, heliborne operations and planning for drone, counter-UAS and loiter-munition strikes in semi-mountainous terrain. The training also features the exchange of expertise and information on weapons, equipment and operational practices.

- Q 72. A**
- Stakeholder capitalism is a system in which corporations are oriented to serve the interests of all their stakeholders. Among the key stakeholders are customers, suppliers, employees, shareholders and local communities.
 - Under this system, **a company's purpose is to create long-term value and not to maximize profits** and enhance shareholder value at the cost of other stakeholder groups. **Hence option 3 is not correct.**
 - Supporters of stakeholder capitalism believe that serving the interests of all stakeholders, as opposed to only shareholders, is essential to the long-term success and health of any business.
 - Proponents of stakeholder capitalism, like economist Joseph Stiglitz, believe it should replace shareholder primacy as a principle of corporate governance. Shareholder primacy, or the idea that a corporation is only responsible for increasing shareholder value, was made popular in the 1970s.
- Stakeholder capitalism can either be an ideology adopted by leaders at individual companies or a model enforced by governments through laws and regulations. Some of the ways companies can independently demonstrate a commitment to stakeholder capitalism:
- Paying fair wages
 - **Reducing the CEO-worker pay ratio. Hence option 1 is correct.**

- Ensuring safety in the workplace
- Lobbying for higher tax rates and avoiding tax loopholes
- Providing good customer service
- Engaging in honest marketing practices
- **Investing in local communities. Hence option 2 is correct.**
- Preventing environmental damage

Q 73. B • Option (b) is correct: Seigniorage is the difference between the value of money and the cost to produce it — in other words, it's the economic cost of producing a currency within a given economy or country. If the seigniorage is positive, then the government will make an economic profit; a negative seigniorage will result in an economic loss.

- **Option (a)** refers to financial inclusion which is the delivery of financial services at affordable costs to sections of disadvantaged and low-income segments of society.
- **Option (c)** refers to the Gross Domestic Product which is the total value of all goods and services produced over a specific time period.
- **Option (d)** refers to Sterilization which are the actions taken by a country's central bank to counter the effects on the money supply caused by a balance of payments surplus or deficit.

Q 74. C • Recent Context: RBI releases National Strategy for Financial Inclusion (NSFI): 2025-30.

- The Financial Inclusion (FI) Index is compiled and released by the Reserve Bank of India (RBI) to measure the extent of financial inclusion across sectors like banking, insurance, pensions, and investments.
- **Hence, option (c) is the correct answer.**

Q 75. B • Recent Context: ISRO's LVM3-M6 Mission successfully placed the BlueBird Block-2 Satellite in Low Earth Orbit (LEO).

- The **BlueBird Block-2 satellite is specifically designed to provide space-based cellular broadband connectivity directly to standard, unmodified mobile smartphones, enabling 4G and 5G voice, data, and video services. Hence, statement 1 is correct.**
- The **BlueBird Block-2 satellite is part of a global Low Earth Orbit (LEO) constellation, not a Geosynchronous Earth Orbit (GEO) constellation.** GEO satellites operate at a much higher altitude (approximately 36,000 km) compared to the BlueBird's LEO altitude (around 520 km), and the characteristics and performance of the system (like direct-to-mobile connectivity without special hardware) are dependent on its LEO position. **Hence, statement 2 is not correct.**
- The BlueBird Block-2 satellite, weighing about 6,100 kg (6.1 tonnes), is the heaviest commercial satellite and payload ever launched by ISRO's LVM3 rocket from Indian soil, setting a new record for the heavy-lift vehicle into Low Earth Orbit (LEO). **Hence, statement 3 is correct.**

Q 76. B • Recent Context: CERT-In has issued advisory warning Indian users about the WhatsApp Account takeover campaign (GhostPairing).

About Ghost Pairing

- **What It Is:** A new cyber scam that allows hackers to take over a WhatsApp account without needing a password or SIM card.

- **How It Works:** The attack exploits WhatsApp's device-linking feature by tricking users into approving a fake but authentic-looking pairing code.
- Victims receive deceptive messages like "Hi, check this photo," which initiates the account compromise.
- **Account Hijacking:** Once linked, the attacker's device gains full access as a hidden trusted device.
- **Hence, option (b) is the correct answer.**

Q 77. B • A mixed economy is a system that combines characteristics of market, command and traditional economies. It benefits from the advantages of all three and is a golden mixture of capitalism and socialism.

Mixed economy has following main features:

- **Co-existence of Private and Public Sector:** Under this system there is co-existence of public and private sectors. In public sector, industries like defence, power, energy, basic industries etc., are set up. On the other hand, in private sector all the consumer goods industries, agriculture, small-scale industries are developed. The government encourages both the sectors to develop simultaneously. **Hence statement 1 is correct.**
- **Economic Planning:** In a mixed economy, government always tries to promote economic development of the country. For this purpose, economic planning is adopted. Thus, economic planning is very essential under this system.
- **Profit Motive and Social Welfare:** In mixed economy system, there are both profit motive like capitalism and social welfare as in socialist economy. **Hence statement 2 is not correct.**
- **Price Mechanism and Controlled Price:** Under this system, price mechanism and regulated price operate simultaneously. In consumer goods industries price mechanism is generally followed. However, at the time of big shortages or during national emergencies prices are controlled and public distribution system has to be made effective. **Hence statement 3 is not correct.**
- **Check on Economic Inequalities:** In this system, government takes several measures to reduce the gap between rich and poor through progressive taxation on income and wealth. The subsidies are given to the poor people and also job opportunities are provided to them. Other steps like concessions, old age pension, free medical facilities and free education are also taken to improve the standard of poor people. Hence, all these help to reduce economic inequalities.
- **Control of Monopoly Power:** Under this system, government takes huge initiatives to control monopoly practices among the private entrepreneurs through effective legislative measures. Besides, government can also take over these services in the public interest.

Q 78. C • Recent Context: Recently, Delhi High Court passed an interim injunction order protecting the personality rights of a famous actor.

About Personality Rights

- Personality rights refer to the right of an individual to control the unauthorized use of their personal attributes like Name, Image, voice, Likeness and Distinctive expressions or traits. These rights include both commercial and non-commercial aspects.
- Personality rights are not expressly mentioned in any statute in India.

- **Components of Personality Rights:** Right to publicity (protected under Trademarks Act, 1999 and Copyright Act, 1957) and Right to privacy (**provided under Article 21 of the Constitution and K.S. Puttaswamy Case, 2017**). Hence, option (c) is the correct answer.

- Q 79. A**
- Reserve Bank of India (RBI) in its Biannual Financial Stability Report (FSR) 2025 found rising public debt in the Indian economy. India's Public Debt as a percentage of GDP in 2024 has remained relatively on the higher side (More than 80%) compared to peer Emerging Market Economies (EMEs).
 - Public debt, also known as 'national debt', is the accumulated amount of borrowing that the government and other public sector bodies owe to the private sector and foreign governments.
 - It includes the debt of the Central Government and State Governments, excluding inter-Governmental liabilities.
 - Public debt can be internal (borrowed within India) and external (borrowed from foreign sources).
 - **Internal Debt comprises loans raised in the open market, Compensation and other bonds, etc. It also includes borrowings through treasury bills, including treasury bills issued to State Governments, Commercial Banks and other investors, as well as non-negotiable, non-interest-bearing rupee securities issued to international financial institutions. Hence, statement 2 is correct.**
 - **External debt refers to money borrowed from a source outside the country.** Its sources are Foreign commercial banks, international financial institutions like the IMF, the World Bank, etc. and government of foreign nations.
 - **Internal debt is 96.59% and external debt is 3.41% of the total public debt of 18,174,284 crore (Union Budget 2025-2026). Hence, statement 1 is not correct.**

	(In ₹ crores)	
	As on 31 st March 2025	As on 31 st March 2026
Internal debt and other liabilities	175,55,988.60	190,14,852.01
External debt #	6,18,295.76	6,63,920.67
Total	181,74,284.36	196,78,772.62

External debt at historical rate of exchange.

- **Potential impact of High Public debt:** Increased interest costs, limited fiscal space, potential inflationary pressures, crowding out of private investment and impact on growth and intergenerational equity.

- Q 80. D**
- In the Product method or Gross Value Added (GVA) method, the Gross Domestic Product (GDP) is calculated by adding the gross value added (GVA) of all firms in the economy. The GVA of a firm is calculated in the following ways:
 - Gross value added of firm = Gross value of the output produced by the firm – Value of intermediate goods used by the firm
 - **GVA = Value of sales by the firm + Value of change in inventories – Value of intermediate goods used by the firm**
 - This equation has been derived by using: **Change in inventories of a firm during a year = Production of the firm during the year - Sale of the firm during the year.**
 - It is worth noting that the sales by the firm include sales not only to domestic buyers but also to buyers abroad (the latter is termed as exports). It is also to be noted that all the above-mentioned

variables are flow variables. Generally, these are measured on an annual basis. Hence they measure the value of the flows per year.

- Net value added of the firm = GVA – Depreciation of the firm
- **Hence option (d) is the correct answer.**

- Q 81. D** • **Legal tender** is the legally recognized medium for settling debts, taxes, and other financial obligations within a country, usually its national currency, which creditors must accept as payment. Laws supporting legal tender help ensure a stable monetary system and prevent competing forms of money, supporting monetary policy.
- While traditional currency remains the norm, digital currencies like Bitcoin and some government-backed experiments are testing new forms of legal tender.
 - In India, every banknote issued by the Reserve Bank of India, such as ₹2, ₹5, ₹10, ₹20, ₹50, ₹100, ₹200, and ₹500, is legal tender unless withdrawn from circulation. These banknotes can be used for payment at any place in India and are guaranteed by the Central Government, subject to provisions of sub-section (2) Section 26 of RBI Act, 1934.
 - Coins issued by the Government of India under Section 6 of The Coinage Act, 2011, are legal tender provided that they have not been defaced or lost weight. Coins of any denomination not lower than one rupee are legal tender for any sum not exceeding one thousand rupees, while fifty paise (half rupee) coins are legal tender for any sum not exceeding ten rupees.
 - **Hence, option (d) is the correct answer.**

- Q 82. D** • The Reserve Bank of India (RBI) acts as India's central bank, primarily managing monetary policy to ensure price stability, issuing currency, regulating banks, managing foreign exchange, and serving as the government's banker and the banker's bank, all to foster economic growth and financial stability.

Key Functions of the RBI

- **Monetary Authority:** Formulates, implements, and monitors monetary policy to control inflation and ensure price stability.
- **Issuer of Currency:** Designs, prints, and distributes currency notes and coins, ensuring an adequate supply of good quality money.
- **Banker to the Government:** Manages government accounts, receives taxes, makes payments, manages public debt, and provides financial advice.
- **Banker to Banks:** Maintains bank accounts, lends funds to banks during crises (lender of last resort), and facilitates inter-bank settlements.
- **Manager of Foreign Exchange:** Manages India's foreign exchange reserves and regulates the foreign exchange market to maintain the rupee's stability.
- **Regulator and Supervisor of Financial Systems:** Oversees banks, non-banking financial companies (NBFCs), and payment & settlement systems for safety and efficiency.
- **Promoter of Financial Inclusion:** Works to expand access to banking and financial services for all segments of society.
- **Developmental Role:** Promotes economic growth by supporting key sectors and development initiatives.
- **Hence, option (d) is the correct answer.**

- Q 83. A** • In India, inflation measurement plays a central role in monetary policy, especially after the adoption of the inflation-targeting framework. Among various inflation indicators, headline inflation occupies a pivotal position because it directly reflects price changes faced by consumers and guides policy decisions of the Reserve Bank of India (RBI).

What is Headline Inflation?

- Headline inflation refers to the overall inflation rate measured by considering all components of the price basket, including food, fuel, housing, and miscellaneous items. **In India, it is calculated using the Consumer Price Index (Combined), which captures both rural and urban consumption patterns.**

Measurement of Headline Inflation

- **Headline inflation in India is measured using the CPI (Combined), published by the National Statistical Office (NSO).** This index represents the average change over time in prices paid by consumers for a fixed basket of goods and services across rural and urban areas. **Hence, statement 1 is correct.**

Role in Inflation Targeting Framework

- Under the RBI Act, 1934 (as amended in 2016), the RBI follows a formal inflation-targeting framework. The target is defined explicitly in terms of CPI-based headline inflation, not core inflation or WPI inflation. Monetary policy decisions, including repo rate adjustments, are anchored to this headline CPI measure. **Hence, statement 2 is correct.**

Volatility

- Headline inflation includes food and fuel prices, which are highly sensitive to supply shocks, seasonal factors, global commodity prices, and geopolitical events. As a result, headline inflation tends to be more volatile in the short run.
- Core inflation, by contrast, excludes food and fuel and is therefore relatively more stable over short periods. **Hence, statement 3 is not correct.**

- Q 84. D** • **Operation Sagar Bandhu is India's ongoing humanitarian aid mission for Sri Lanka, launched recently to provide relief after devastating Cyclone Ditwah,** involving Indian Navy/Air Force deployments, rescue teams (NDRF), field hospitals, and substantial aid (food, medicine, shelter, infrastructure materials like bridges), demonstrating India's "Neighbourhood First" policy and role as a first responder in the Indian Ocean Region (IOR).
- **Hence, option (d) is the correct answer.**
 - **Option (b)** corresponds to **Operation Sankalp** (Red Sea / Gulf of Aden anti-piracy).
 - **Option (c)** corresponds to **Operation Brahma**, undertaken for earthquake relief in Myanmar.

- Q 85. C** • Urban Co-operative Banks (UCBs), State Co-operative Banks (StCBs), and Central Co-operative Banks (CCBs) are explicitly qualified to use the term "bank" under the Banking Regulation Act, 1949. **Hence options 2, 3 and 4 are correct.**
- These institutions are engaged in the business of banking, which includes accepting deposits and lending money, and are regulated by the Reserve Bank of India (RBI) for their banking functions.
 - Primary Agricultural Credit Societies (PACS) are at the grassroots level of the rural co-operative credit structure and are crucial for providing credit to farmers. However, they are generally considered credit societies, not full-fledged banks, and are not qualified to use the term "bank" in

their name. They link the farmers to the district and state cooperative banks. **Hence option 1 is not correct.**

- **Hence, option (c) is the correct answer.**

- Q 86. C**
- The RBI's primary role as a central bank is to act as the banker to the Government of India and the central and state governments within India, managing their receipts, payments, and public debt. Its foreign exchange management functions primarily involve managing India's foreign exchange reserves and regulating cross-border transactions involving Indian residents and entities.

RBI can lend to:

- **Government of India:** Provides short-term credit in the form of Ways and Means Advances (WMA) to bridge temporary mismatches in cash flows, and also manages the public debt. Hence, point 1 is correct.
- **Governments of the States:** Acts as a banker to most state governments and provides WMA, managing their public debt based on bilateral agreements. Hence, point 2 is correct.
- **Banks:** Lends to both public and private sector banks (and other eligible financial institutions, cooperative banks, NBFCs) through various mechanisms like the repo rate and bank rate (as the "lender of last resort") to manage liquidity and ensure financial stability. Hence, point 3 is correct.
- **Industry Bodies:** The RBI does not lend directly to Industry Bodies or the general public. Therefore, the RBI can lend to three of the four listed entities. Hence, point 4 is not correct.

- **Hence, option (c) is the correct answer.**

- Q 87. B**
- **Saving represents the excess of current income over current expenditure of various sectors of the economy.** It is the balancing item on the income and outlay accounts of the producing enterprises, households, government administration and other final consumers. For a closed economy, savings equals capital formation during the year, whereas **for the open economy savings equals capital formation plus net capital inflow from abroad during the year. Hence, statement 1 is not correct.**

- Saving is the balancing item in the two versions of the use of income account. Its value is the same whether it is derived as disposable income less final consumption expenditure or as adjusted disposable income less actual final consumption (in both cases, after adding to income the adjustment item for pension funds just described).
- **Non-financial and financial corporations have no final consumption expenditure or actual final consumption. Their net saving is equal to their net disposable, or adjusted disposable, income (apart from the adjustment item for pension funds).** Saving represents that part of disposable income that is not spent on final consumption goods and services. It may be positive or negative depending on whether disposable income exceeds final consumption expenditure, or vice versa. **Hence, statement 2 is correct.**

- Q 88. D**
- Network externalities are a special kind of externalities in which one individual's utility for a good depends on the number of other people who consume the commodity. Network externalities may be positive or negative.
 - The existence of positive network externalities gives rise to Bandwagon effect. **Bandwagon effect refers to the desire or demand for a good by a person who wants to be in style because**

possession of a good is in fashion and therefore many others have it. Hence option (d) is the correct answer.

- In case network externalities are negative, snob effect arises. Snob effect refers to the desire to possess a unique commodity having a prestige value. Snob effect works quite contrary to the bandwagon effect. The quantity demanded of a commodity having a snob value is greater, the smaller the number of people owning it.
- In microeconomics, **economies of scale are the cost advantages that enterprises obtain due to their scale of operation, and are typically measured by the amount of output produced. A decrease in cost per unit of output enables an increase in scale.** At the basis of economies of scale there may be technical, statistical, organizational or related factors to the degree of market control.
- **Bernoulli's Hypothesis states a person accepts risk not only on the basis of possible losses or gains, but also based upon the utility gained from the risky action itself.** The St. Petersburg Paradox was a question that asked, essentially, why people are reluctant to participate in fair games where the chance of winning is as likely as the chance of losing. Bernoulli's Hypothesis solved the paradox by introducing the concept of expected utility and stating that the amount of utility from playing a game is a significant decision factor in whether or not to participate.

Q 89. A • A haircut is a difference between the loan amount and the actual value of the asset used as collateral. It reflects the lender's perception of the risk of fall in the value of assets. But in the context of loan recoveries, it is the difference between the actual dues from a borrower and the amount he settles with the bank. **Hence option (a) is the correct answer.**

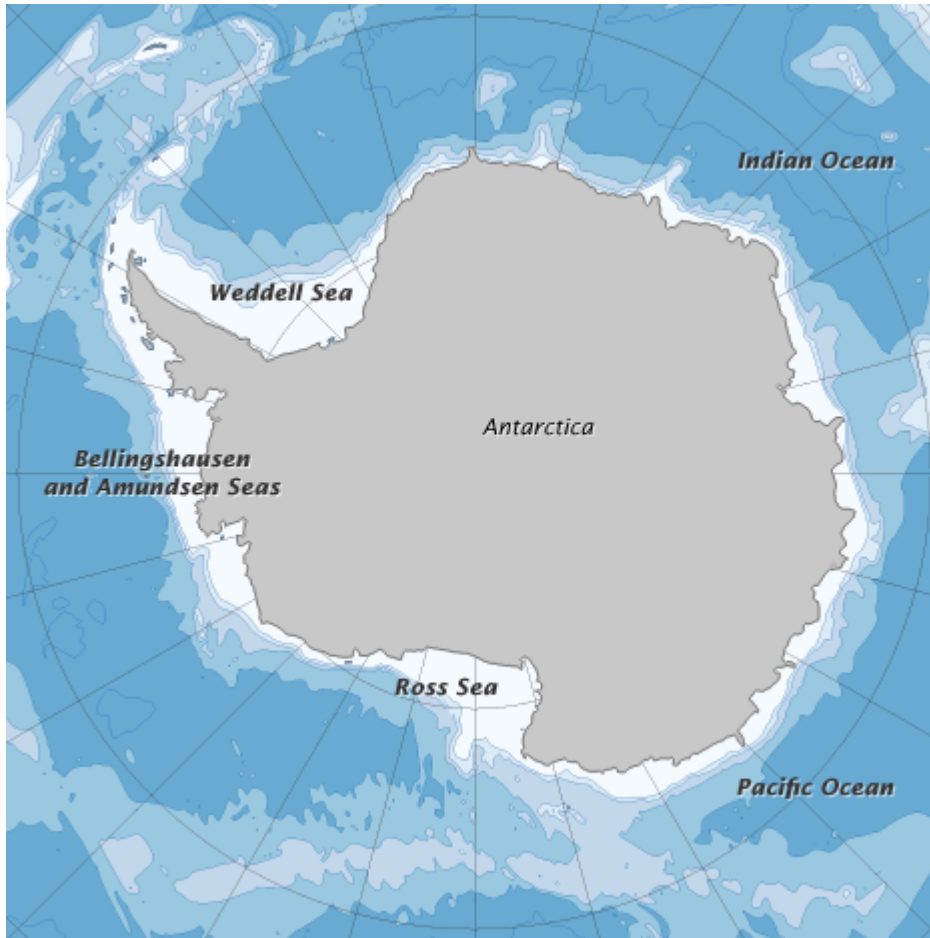
- This is done because the **lender gets at least some amount back instead of not getting any money at all.** When collateral is being pledged, the degree of the haircut is determined by amount of associated risk to the lender. These risks include any variables that may affect the value of the collateral in the event that the lender has to sell the security due to a default by the borrower. Variables that may influence that amount of a haircut include price, credit and liquidity risks of the collateral.

Q 90. C • Recent Context: A new study has reported that the deep waters in Southern Ocean are rising; this has increased carbon dioxide pressure in the subsurface layer.

About Southern Ocean:

- **It is one of the five great ocean basins on Earth.**
- It is also known as the Antarctic Ocean.
- It lies between 60 degrees south latitude and the coast of Antarctica and encompasses 360 degrees of longitude
- **It includes Amundsen Sea, Bellingshausen Sea, part of the Drake Passage, Ross Sea, a small part of the Scotia Sea, Weddell Sea, and other tributary water bodies.**
- It plays an important role in the circulation of water around the globe.
- **Weddell Sea:** The Weddell Sea is part of the Southern Ocean, located south of the Atlantic Ocean and east of the Antarctic Peninsula.
- **Ross Sea:** The Ross Sea is also a deep bay and a primary component of the Southern Ocean, situated between Victoria Land and Marie Byrd Land in Antarctica.

- **Bellingshausen Sea:** This water body is located along the west side of the Antarctic Peninsula and is considered part of the Southern Ocean, bordering the Amundsen Sea to the west.



- **Tyrrhenian Sea:** The Tyrrhenian Sea is an arm of the Mediterranean Sea, located off the western coast of Italy and surrounded by the Italian Peninsula, Corsica, Sardinia, and Sicily. It is not part of the Southern Ocean.



- Hence, option (c) is the correct answer.

Q 91. D • **Recent Context:** CRASH (Collision Realization and Significant Harm) Clock metric warns Earth's satellite fleet faces rising risk of rapid collision cascades characterized by Kessler Syndrome.

About Kessler Syndrome

- The Kessler Syndrome, proposed by NASA scientist Donald J. Kessler in 1978, describes a **theoretical scenario where the amount of space debris in Low Earth Orbit (LEO) reaches a critical density. At this point, collisions between objects would create more debris, which would in turn cause more collisions, leading to a self-sustaining chain reaction (or "collision cascade")**. This escalating process would exponentially increase the amount of debris and potentially render certain orbital regions unusable for future space activities.
- Hence, option (d) is the correct answer.

Below is the list of major projects and satellites that have been physically destroyed or severely impacted by **Kessler Syndrome**:

- **CERISE (1996):** A French military reconnaissance satellite hit by debris from an Ariane 1 rocket; this was the first confirmed collision between two cataloged objects, resulting in its stabilization boom being severed.
- **Fengyun-1C (2007):** A Chinese weather satellite intentionally destroyed by a missile during an ASAT test; it created over 3,000 trackable fragments, forming the largest debris cloud in history.
- **Iridium 33 & Kosmos-2251 (2009):** A high-speed collision between an active U.S. commercial satellite and a defunct Russian military satellite; both were totally destroyed, producing over 2,000 pieces of large debris.

- **BLITS (2013):** A Russian "Ball Lens In The Space" nanosatellite struck by a tiny fragment from the 2007 Fengyun-1C explosion; the impact changed its orbit and orientation, effectively terminating its mission and demonstrating the long-term "legacy" danger of debris.
- **Yunhai 1-02 (2021):** A Chinese meteorological satellite hit by a small fragment from a Zenit-2 rocket stage launched in 1996; the satellite suffered significant structural damage and lost its primary operational capability.
- **Shenzhou-20 (2025):** A Chinese crewed spacecraft that suffered a micro-debris strike in November 2025 while docked at the Tiangong space station; the impact cracked a viewport window, rendering the craft unsafe for re-entry and necessitating an emergency rescue plan for the taikonauts.
- **Debris Removal as a Priority:** Projects like **ClearSpace-1** and **Astroscale's ELSA-M** (launching in 2025) are now the only way to "save" other projects from being destroyed by the Kessler cascade.

- Q 92. D**
- **Narasimham Committee:** Chaired by M. Narasimham, this committee (with two reports in 1991 and 1998) is famously associated with comprehensive banking sector reforms in India, focusing on structural inefficiencies, prudential norms, capital adequacy, and overall efficiency. **Hence, point 1 is correct.**
 - **Raghuram Rajan Committee:** Appointed in 2007, this committee proposed a roadmap for the next generation of financial sector reforms, which encompassed banking sector consolidation, regulatory improvements, and financial inclusion. **Hence, point 3 is correct.**
 - **Nachiket Mor Committee:** The Nachiket Mor Committee, formed by the RBI in 2013, focused on Comprehensive Financial Services for Small Businesses & Low-Income Households, aiming to boost financial inclusion in India by recommending specialised banks like Payments Banks and Small Finance Banks, promoting risk management for the poor, and ensuring universal access to affordable financial services for all. Its influential 2014 report paved the way for differentiated banking licenses, expanding financial access beyond traditional banks. **Hence, point 5 is correct.**
 - **Urjit Patel Committee:** The Urjit Patel Committee (officially, the Expert Committee to Revise and Strengthen the Monetary Policy Framework) was a committee appointed by the Reserve Bank of India (RBI) in 2013 to recommend reforms to India's monetary policy framework. Its key recommendations led to India formally adopting flexible inflation targeting and establishing the modern Monetary Policy Committee (MPC). **Hence, point 2 is not correct.**
 - **N.K. Singh Committee:** The NK Singh Committee (2016-2017) was formed to review India's Fiscal Responsibility and Budget Management (FRBM) Act, 2003, recommending a shift to a debt-to-GDP target, establishing an autonomous Fiscal Council, and introducing escape clauses for deviations, all aimed at better fiscal discipline and transparency, with its report proposing a new Debt Management and Fiscal Responsibility Bill. **Hence, point 4 is not correct.**
 - **Hence, option (d) is the correct answer.**

- Q 93. D**
- **All the statements are correct.**

According to the RBI, a wilful default is deemed to have occurred in any of the following four circumstances:

- **The unit has defaulted in meeting its payment / repayment obligations to the lender even when it has the capacity to honour the said obligations.**

- The unit has defaulted in meeting its payment / repayment obligations to the lender and **has not utilised the finance from the lender for the specific purposes for which finance was availed of but has diverted the funds for other purposes.**
- The unit has defaulted in meeting its payment / repayment obligations to the lender and has siphoned off the funds so that the funds have not been utilised for the specific purpose for which finance was availed of, nor are the funds available with the unit in the form of other assets.
- The unit has defaulted in meeting its payment / repayment obligations to the lender and has also disposed off or removed the movable fixed assets or immovable property given for the purpose of securing a term loan without the knowledge of the bank / lender **(or the asset bought by the lenders' funds have been sold off without the knowledge of the bank/lender.)**

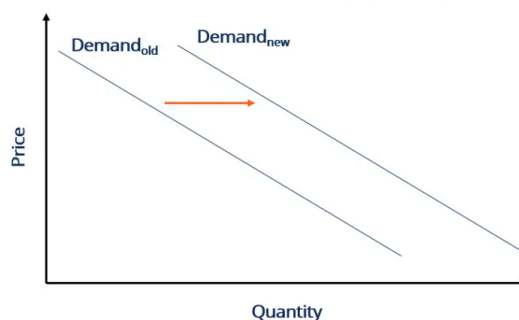
- Q 94. B**
- Galdan Namchot: This festival is primarily celebrated in Ladakh and other Himalayan regions to commemorate the birth and parinirvana of Je Tsongkhapa. **Hence, pair 1 is incorrectly matched.**
 - Karthigai Deepam (Festival of Lights) is a major **Tamil festival in South India** celebrating the triumph of light over darkness and good over evil, marked by lighting oil lamps (diyas) at homes and temples, signifying the infinite light of Lord Shiva, and featuring special pujas for Lord Muruga, delicious foods like Milagu Adai, and the lighting of a huge Maha Deepam on Annamalai Hill, often called the Diwali of South India. **Hence, pair 2 is correctly matched.**
 - The Charaichung Festival in Assam's Majuli island aims to revive Asia's first protected Royal Bird Sanctuary, established in 1633 by Ahom King Swargadeu Pratap Singha. Held annually (e.g., Dec 7-10, 2025), this initiative by Majuli Sahitya and locals promotes conservation, biodiversity, and eco-tourism through art, workshops, and birdwatching, putting the nearly defunct sanctuary on the global map. **Hence, pair 3 is correctly matched.**

- Q 95. C**
- A demand shock is a sudden and temporary increase or decrease in the demand for a good or a bundle of goods. Usually, the phrase “demand shock” is used in the context of aggregate demand, which describes the cumulative demand for an entire economy. **Hence, statement 1 is correct.**

A temporary change in demand can be caused by any factor that:

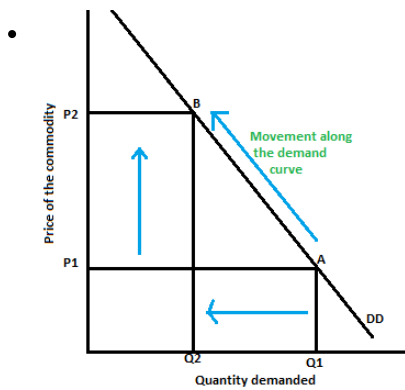
- Allows consumers to consume more, or
- Induces consumers to want to consume more
- Many factors allow consumers to consume more (such as a universal tax cut that allows consumers to receive more to spend) and many factors that induce consumers to consume more (such as warmer weather increasing the demand for cold drinks during the summer months).

- **Example of a Positive Demand Shock**



- Change in price cannot cause a demand shock. A movement along the demand curve reflects a change in quantity demanded due to a change in price and is not a demand shock. **Hence,**

statement 2 is correct.



- The duration of the effects of demand shocks can vary greatly. Although the effects are described as “temporary,” there are no rigorous guidelines as to how “temporary” is defined.
- Instead, “temporarily” is used to present the notion that the economy is in an irregular state and that aggregate demand is different from what economists consider standard. Depending on the context of the demand shock, effects can range from a few days to several years.

Q 96. A • Margin Trading Facility (MTF) is a service offered by brokers that **allows investors to buy more stocks than they can afford with their available capital**. In simple terms, it lets you **borrow money from your broker** to trade in the stock market, using your existing securities as collateral. **Hence, statement 1 is correct.**

How Does MTF Work?

- **Borrowing Funds** – When you opt for MTF, your broker lends you money to purchase additional shares.
- **Collateral Requirement** – You need to maintain a certain percentage of margin (usually 25-50%) in your account.
- **Interest Charges** – Since you’re borrowing money, the broker charges interest on the leveraged amount.
- **Repayment** – You must repay the borrowed amount within a stipulated time (usually one day to a few months).
- **In India, Margin Trading Facility operates under the strict framework set by the Securities and Exchange Board of India (SEBI).** Before availing MTF, an investor must sign a **formal MTF agreement with their broker**. This agreement clearly outlines the margin percentage, interest rate, eligible securities, and repayment terms. The broker, in turn, maintains transparency by disclosing funding details, interest charges, and risk management procedures all under SEBI’s supervision. **Hence, statement 2 is not correct.**

Q 97. A • The money multiplier is a concept in macroeconomics that describes how an initial deposit in a fractional-reserve banking system can lead to a potentially larger expansion of the total money supply. This effect occurs because banks lend out a portion of their deposits, which then gets re-deposited, lent again, and so on, creating new money in the process.

- "Money Multiplier" = $1 / \text{Reserve Ratio}$
- The money multiplier is inversely related to the reserve ratio (CRR). Lowering the CRR means banks hold less cash with the central bank, allowing them to lend a larger portion of deposits, which increases the multiplier's size. **Hence, statement 1 is correct.**

- When CRR falls, banks have more excess reserves to lend out. This lending creates new deposits, which are then partially re-deposited and re-lent, leading to multiple rounds of credit creation and expanding the overall money supply. **Hence, statement 2 is correct.**
- So, both Statement–I and Statement–II are correct, and Statement–II is the correct explanation for Statement–I.
- **Hence, option (a) is the correct answer.**

Q 98. A • The Standing Deposit Facility (SDF) is an RBI monetary tool for absorbing excess liquidity from banks without requiring collateral, acting as the floor for the Liquidity Adjustment Facility (LAF) corridor, typically 25 bps below the repo rate, offering banks a risk-free, high-return place to park funds, thereby controlling inflation and stabilizing markets. where as MSF is a window for banks to borrow from RBI in emergency situation when inter-bank liquidity dries up completely. **Hence, statement 1 is not correct.**

- It replaced the reverse repo rate as the LAF floor in 2022, providing more flexibility for the central bank. A key feature of SDF is that it's a collateral-free tool, allowing banks to park funds without pledging government securities, unlike repo/reverse repo. **Hence, statement 2 is not correct.**
- The SDF is available to all participants of the Liquidity Adjustment Facility (LAF) for absorbing surplus liquidity, complementing other tools like Repo and MSF. **Hence, statement 3 is correct.**

Q 99. C • An increase in the demand for money, with supply remaining the same, generally leads to an increase in interest rates. The Reserve Bank of India (RBI) is tasked with managing liquidity and ensuring price stability, while keeping economic growth in mind. When there is a high demand for money (which could signal a potential economic slowdown or liquidity squeeze if not addressed), the RBI would typically adopt an expansionary or accommodative monetary policy to increase the money supply and lower interest rates to encourage borrowing and investment.

- Purchasing government securities (Open Market Operations) by the RBI injects liquidity (money) into the banking system, which increases the money supply, makes credit cheaper, and stimulates economic activity. This action directly addresses an increased demand for money by increasing its supply. **Hence, option (c) is the correct answer.**

• **Other options**

- The Reserve Bank of India will sell government securities in the open market. Selling government securities is a contractionary monetary policy measure used to absorb excess liquidity (decrease the money supply) and control inflation, which is the opposite of the required response when money demand increases. **Hence, option (a) is not correct.**
- The Reserve Bank of India will increase the Repo Rate to discourage borrowing. Increasing the Repo Rate is also a contractionary measure. It makes borrowing more expensive for commercial banks and, in turn, for the public, which reduces the money supply and curbs demand. **Hence, option (b) is not correct.**
- The Reserve Bank of India will increase the Statutory Liquidity Ratio to absorb excess liquidity. Increasing the Statutory Liquidity Ratio (SLR) requires banks to hold a higher proportion of their assets in liquid forms, reducing the funds available for lending. This is another contractionary tool used to absorb excess liquidity, not to meet an increase in money demand. **Hence, option (d) is not correct.**

- Q 100. A** • Pigovian tax, named after 1920 British economist Arthur C. Pigou, is a special tax that is often levied on companies that pollute the environment or create excess social costs, called negative externalities, through business practices. **Hence option (a) is the correct answer.**
- In a true market economy, a Pigovian tax is the most efficient and effective way to correct negative externalities. Tax on diesel, tax on tobacco products and alcohol are examples of Pigouvian Tax.

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